# REAL ESTATE BUSINESS MODELS



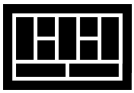
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# SUPER GUIDE:

# REAL ESTATE BUSINESS MODELS

BY DANIEL PEREIRA



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# INTRODUCTION

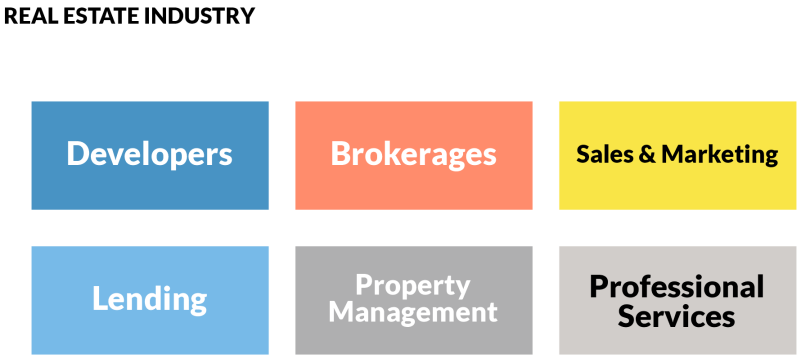
In recent years, there has been a considerable expansion in the scope of online real estate business models. These models cut down on or do away with the need for human interaction altogether, while simultaneously increasing access to clients. Customers are content with real estate listing websites since the user interfaces of these sites are appealing and concise.

The fast rise of the real estate market may be attributed in large part to the trust that consumers have placed in real estate websites as reputable information resources. According to the National Association of Realtors (NAR), over three-quarters of recent homebuyers used the internet as a research tool during their search for a property, and nearly one-third of recent homebuyers claimed that the internet was the source from which they learned about their new home. According to the same study, the number of people searching on Google for phrases related to real estate has climbed by 253% over the course of the past four years.

These figures highlight the present need for property listing websites as well as their potential for future growth; but, before you go in headfirst, it is essential to have a grasp of how things work in the real estate market and how real estate websites operate.

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# OVERVIEW OF THE REAL ESTATE INDUSTRY




# HOW THE REAL INDUSTRY WORKS

Let's take a more in-depth look at the industry, shall we? In order to get a deeper understanding of the real estate market, it may be segmented into the following categories:

**Development**
Real estate development refers to the process of buying up undeveloped land, changing the zoning on that land (re-zoning), building or renovating buildings, and then selling or renting such structures to target customers as a revenue stream. The taking on of financial risk and the subsequent increase in property value is how developers earn their living.
**Sales and marketing**
These companies focus the majority of their efforts on the

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marketing of brand-new products. When it comes to selling the condominiums and apartment complexes that they have built, developers often enlist the assistance of sales and marketing organizations. These companies are entitled to a proportional share of the earnings generated by advertising and the use of sales personnel to sell completed goods.

**Brokerage**
Businesses that employ real estate brokers or realtors may be referred to as brokerages. The role of real estate agents in this industry is to act as intermediaries between buyers and sellers of property. They are responsible for acting as a liaison between the two parties and putting together the most qualified group possible in order to successfully execute the sale or purchase.

**Property management**
Property management companies are there to help landlords find suitable renters for their available units. Property management encompasses a wide range of responsibilities, such as collecting rent, resolution of maintenance concerns, coordinating of repairs, advertising vacant flats, and interacting with tenants. They require the landlord to pay a percentage of the monthly rent that is collected.

**Lending**
Because practically all real estate and development projects rely on debt to finance their operations, lenders play an essential part because of this dependency. Lending may be done by a variety of different types of institutions, including but not limited to banks, credit unions, private lenders, and government agencies.

**Professional services**
The success of the real estate industry is due in large part to the contributions made by a wide variety of specialists in the field. In addition to the aforementioned examples, the most

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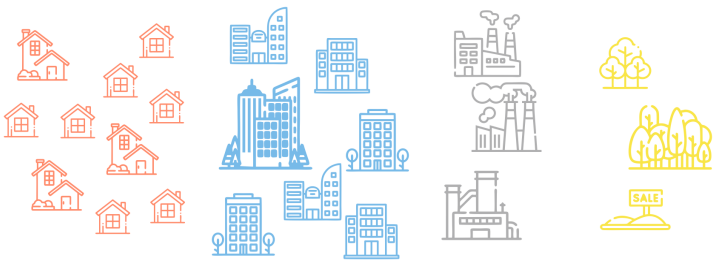
common ones are those who work in accounting, the legal field, interior design, staging, general contracting, construction, and salespeople.

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# WHAT IS REAL ESTATE BUSINESS?

A real estate firm is an organization that deals with the purchase, disposal, administration, or investment of real estate. According to the definition provided by The Balance, the real estate encompasses not only the land and structures, but also the air rights over the land, as well as the subsurface rights below the land.

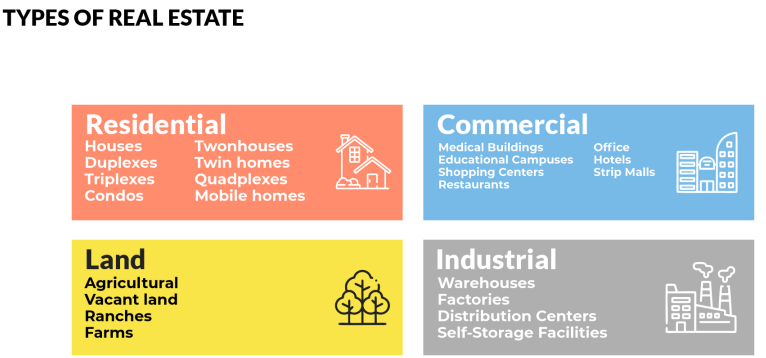
According to data provided by the United States Census Bureau, just 5% of people who reach retirement age are "financially secure" enough to enjoy a comfortable retirement. This is a harsh truth that many people have to face in today's world. You may, however, be able to realize your financial goals and put yourself in a position to enjoy a worry-free retirement if you set up a business in which you invest in real estate.




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# TYPES OF REAL ESTATE BUSINESS

There are many distinct types of real estate, each of which serves a different function and offers a different set of advantages.




## Land

The land is the foundation for any other kind of property that may be classified as "real estate". The land also refers to any property that has the potential to be used for agricultural or ranching purposes. Undeveloped land, property that is in the process of undergoing early development or reuse, land that is in the process of being subdivided, and land that is in the process of being assembled as a site are all subsets of unoccupied land.

It is common practice for developers to rezone an area after purchasing neighboring pieces of property (a method known as "assembly") in order to increase the density of the neighborhood and, therefore, the value of the houses they build.

## Residential

Shelter is a vital need, and residential structures satisfy that

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need for individuals as well as for large communities. This kind of estate is the one with which the vast majority of customers and investors feel the most at ease. Under the residential category, there are a variety of housing alternatives available to pick from, such as single-family homes, apartments, vacation homes, duplexes, quadplexes, high-value homes, triple-deckers, multi-generational homes, condos, and townhouses.

### Commercial

The commercial real estate market consists of a variety of commercial constructions, including shopping malls, office buildings, schools, hotels, and other similar establishments. Apartment complexes are often considered to be commercial assets since their ownership is driven by the desire to make a profit, despite the fact that some of their tenants may use them as their primary residences.

### Industrial

Industrial real estate often includes both warehouses and factories as one of its components. The buildings might operate as research facilities, storage facilities, manufacturing facilities, or distribution hubs. Warehouses that are used for storing commodities and shipping such things can be considered commercial properties. The distinction is important because it has an effect on how the property is zoned, built, and how it is sold.

## EXAMPLES OF SUCCESSFUL REAL ESTATE BUSINESSES

Purchasing and selling a home are very time-consuming and stressful endeavors. To their credit, a large number of companies in today's market are committed to simplifying the process for their clientele.

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Some examples of well-known, successful, and respected businesses in the field are as follows:

**Real Estate Maximums (RE/MAX)**
Since its founding in 1973, this reputable real estate firm has focused mostly on the brokerage side of the business. The present workforce of the firm comprises over one hundred thousand salespeople working in franchised and company-owned sites all over the world. This company has one of the most successful sales teams in the United States real estate business.

**Century 21**
Century 21 is a real estate brokerage behemoth and one of the most well-known brands in the industry. It is a corporation that is well known all over the world and has thriving operations in a variety of countries, including Latin America, Europe, Asia, and the Middle East. Approximately 7,000 of their broker offices are privately owned and operated. In addition to this, it has a worldwide workforce of 100,000 people, which includes both employees and partners.

**Keller Williams**
Keller Williams is a well-known and respected name in every region of the world. Back in 2012, the company's activities in the United States were 91% profitable. Today, Keller Williams operates in over 700 markets throughout the globe.

**Coldwell Banker**
The first Coldwell Banker office opened in 1906 on the West Coast, in the city of San Francisco. It has established a reputation in the real estate industry for providing reliable service throughout the course of its history. The company has more than 3,000 locations in more than 50 countries worldwide. Training for real estate sales agents is also part of the offerings, in addition to the provision of excellent

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services.

**ERA**

ERA is an abbreviation for Electronic Realty Associates. The real estate company, ERA Real Estate, is owned and managed by Realogy, the same company that is responsible for Coldwell Banker and Century 21. Facsimile was still a relatively new technique when ERA was established in 1971 with the intention of promoting its usage. This firm has had a meteoric rise in size throughout the course of its history. It is currently active in a wide range of countries, some of which include Saudi Arabia, Germany, and Japan, among others.

# HOW PROFITABLE IS REAL ESTATE BUSINESS?

There is the potential for significant financial gain from investing in real estate. Going into this line of work might be a wise decision for you if your goals are to build a fortune and establish a reputation for yourself. This is due to the fact that there are a great number of commercial and financial prospects available in this sector.

If you are prepared and have done your research, entering the real estate industry might turn out to be pretty profitable for you. It is essential to become familiar with the trends in the market before taking any action. As a result, conducting research on the current state of the market and the potential for profit associated with investment property is necessary.

You can find the benefits and profits from Real Estate Businesses under: What Are The Benefits Of Starting A Real Estate Business?

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# WHAT TYPE OF REAL ESTATE BUSINESS REVENUE CAN YOU EXPECT?

When compared to pay in other businesses, those in the real estate industry are in a league of their own. In the business of real estate, many companies operate on a commission or fee basis, which means that they are not paid unless and until a transaction takes place (such as the sale of an asset, the collection of rent, or the receipt of some other kind of investment income).

As the owner of a business, you may have the ability to pay yourself a salary. However, it is unlikely that a W2 paycheck will be your primary source of income. The earnings of your real estate company will look quite different depending on the approach you use and the level of success you reach. Involvement on a part-time or full-time basis will also be a factor.

The real estate industry provides a wide variety of income streams, including the following:

**Residual Income**
This is not your salary, but rather the money you make by renting out your property. If you choose your properties well, you may get consistent cash flow from tenants.

This residual cash flow might be bolstered by payments coming from a variety of sources, including income from rental properties, partnerships, commercial real estate, and interest.

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### Profit

When you sell an item for a price that is higher than what you paid for it, you will have made a profit. The majority of real estate gains value through time or as a consequence of modifications made to it, such as increasing the net operating income (NOI), extending the square footage, or completing cosmetic renovations. On the other hand, you won't be able to cash in on that increased value until you either sell the asset or get a loan against it.

### Business Operation Payments

If you are offering specialized services or engaging in commercial initiatives, you might expect your real estate company's operations to bring in monetary compensation. For example, if your firm owns a hotel or maintains properties, you could be entitled to a portion of the hotel's or property's income. This is more common in commercial buildings, such as parking garages, eateries, and shopping malls.

### Commissions

Commissions make up the vast bulk of a real estate sales agent or broker's income. In addition to financial incentives in the form of commissions for transactions that are successfully completed, many real estate businesses also pay their agents a small wage.

When entering into a listing agreement with a real estate agent, the seller often makes a commitment to pay the agent a certain amount of the total sales price. In most cases, this figure falls somewhere between 5% and 6%.

Both the selling agent and the purchasing agent will typically share equally in the sale commission. Your total profit would be $12,500 if the selling price of the house was $250,000 and the commission rate was 5%. In most cases, brokers are compensated with 50% of the commission in exchange for their assistance in finding a buyer.

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In most cases, the brokerage firm will also deduct a fee from the total commission that was received by both parties. Therefore, if you are just acting in the capacity of representing the seller, you will receive $6,250, of which a portion might be given to your broker. Because of this, a significant number of entry-level agents want to get their broker's license; once they do, they are entitled to retain all of their commissions.

According to the data provided by the National Association of Realtors during the year 2021, the average annual income was around $54,330. It was shown that 57% of realtors with less than two years of experience earned less than $10,000, whilst 45% of members with 16 or more years of experience made more than $100,000.

# HOW MUCH DOES IT COST TO START A REAL ESTATE BUSINESS?

The initial investment required to launch a real estate company might vary widely from one country or state to the next. To get things rolling, you should probably plan on investing between $5,000 and $10,000 upfront. The first filing charge for a limited liability company (LLC) is typically between $40 and $500, but this may vary greatly from one country and state to the next. On average, however, the fee is somewhere in the middle. Get your facts straight and do your homework.

Many firms rapidly exhaust their initial funds on essentials such as office equipment, the development of a website and logo, miscellaneous materials, advertising, and other expenses. These additional components aren't always necessary, but they will be of tremendous assistance to your

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real estate business.

There is a high turnover rate among newcomers in the real estate sector during the first two years of their careers. This is due to the fact that the vast majority of new agents are not prepared to face the difficulties associated with establishing their own companies.

When you are your own boss, it becomes your responsibility to pay for everything, from the initial setup of the business to the promotion of the business. Due to the high barrier to entry and the considerable time it takes before one can begin generating money as a real estate agent, it is simple to see why some individuals who desire to become real estate agents give up on the idea.

It is far more beneficial to have a solid understanding of the required expenses before you really need them. You can better plan for the beginning stages of the venture and give yourself a reason to stick with it if you are aware of the financial investment that is required.

### Pre-licensing real estate classes and training

The first thing you need to do to get a license to sell real estate is to enroll in a real estate education program that has been accredited. The kinds of classes you have to attend, and the costs associated with them, will differ. The amount of money that each school charges will vary widely from one another. However, the average cost of an online course is much lower than that of a typical classroom course.
**Estimated cost: $200+**

### Real estate examination and licensing fees

In most cases, the application fee for your real estate license will be somewhere around $25. You'll also be responsible for paying the fees associated with getting your fingerprints taken and undergoing a background check. The total cost of

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all of them comes to around $100. The exact fee for taking the state exam might change from one year to the next, although it is often less than $50. The license charge is an additional $150 after that. **Estimated cost: $300+**

### Real estate broker fees

When getting started in the real estate sector, the next line of financial expenditure to evaluate is the cost of real estate broker fees.

After you have obtained your license to practice real estate, it is quite probable that you will be "hanging your hat" with a local broker. Brokers often take responsibility for paying a significant portion of the operating expenses that are incurred over the usual course of business. Examples include Errors and Omissions insurance, photocopiers, office supplies, and access to the internet. However, you will likely be required to reimburse the broker a portion of your commission in order to cover these costs. There is also a possibility that a monthly desk fee may be added. **Estimated cost: $500+/month**

### Real estate membership dues

Even though they are deductible from taxes, membership dues still represent a sizable financial commitment. So, in what ways precisely does one need to prepare themselves to become a REALTOR®? For starters, it goes without saying that you have to be a member of the National Association of REALTORS® in order to get that title. Whether you want to or not, if you become a real estate agent, you will most likely find yourself being asked to join several state and local bodies. There is a fee associated with using them, just as there is with your local Multiple Listing Service.

Members of your local real estate board may be required to pay dues on a monthly basis. This money can be paid either directly to the organization or via your broker. The National

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Association of REALTORS® charges annual dues of a few hundred dollars, and membership costs to state associations are comparable to those of the national association. **Estimated cost: $200+/year**

### Business expenses

You should also plan on spending money on a number of additional fees related to operating a real estate office. These costs might include: client lunches and dinners, closing gifts for clients, and closing parties, as well as your mobile phone and internet bills. It's possible that your broker will cover some of them, but it's more probable that they won't. **Estimated cost: $3000+/year**

### Marketing costs

When you first get started in the real estate business, one of the major expenses you'll probably have is advertising. 31% of REALTORS®, for instance, spend more than one thousand dollars yearly on marketing.

When you initially start out as a real estate agent, you should expect to spend a significant portion of your profits on marketing both yourself and the properties you represent. As a real estate agent, you may need to set aside up to $1,500 yearly in order to maintain a high-quality website for your business. You will also need to distribute business cards, produce brochures, flyers, and mailers, and pay for advertising in addition to these things. These costs will add up very rapidly. However, these expenditures are really necessary when you are just getting started. **Estimated cost: $1,000–$3,000+/year**

### Real estate continuing education

Even when you've achieved a great deal of success in your real estate business, you won't stop training. You are required to continue your education by taking appropriate classes if you want to keep your license. You may also differentiate

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yourself in the market by seeking specialist qualifications in your area of interest. Many brokers are of the opinion that it is financially beneficial to make an investment in their continued professional growth. **Estimated cost: $250+/year**

# WHAT ARE THE BENEFITS OF STARTING A REAL ESTATE BUSINESS?

Starting your own profitable real estate firm on your own might be challenging. It is important to put in the work if you want to be successful in starting a company, since the payoffs can be worth the effort.

A few of the main upsides of launching a property business are as follows:

**Cash Flow**
Ownership of real estate may result in an increase in one's consistent flow of cash. If you invest in real estate, whether it be residential or commercial, you will have the opportunity to lease out the space you own to other people. After that point, recurring installments of the rent will be sent over to you. If you want to reduce the risk that your tenants may stop paying the rent, checking their previous payment records is a good first step to take.

The potential for financial gain is a significant factor contributing to the widespread appeal of investing in real estate. Your cash flow should only increase as you get farther and farther along in the mortgage repayment and equity-building processes.

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### Tax Breaks and Deductions

There are several tax credits and deductions available to those who invest in real estate. When you own investment property, you may be able to deduct a variety of costs as legitimate business expenses. Among them are property taxes, mortgage interest, management fees, insurance, normal maintenance and repair costs, as well as expenditures made for promoting the property.

Taking advantage of the depreciation of the cost of acquiring and renovating an investment property over the course of that property's useful life may help you lower the amount of revenue that is subject to taxation over the long run (27.5 years for residential properties; 39 years for commercial).

The profit you get by selling an asset for more than you paid for it is exempt from taxes as income, in contrast to regular income. It will be subject to usually lower tax rates than income since it will be considered a capital gain. You are able to completely defer the payment of taxes on capital gains if you make investments in opportunity zones, which are low-income communities in need of economic development.

### Appreciation

Real estate investors get the majority of their income from three main streams: rental income, revenues from property-dependent economic activities, and appreciation of their investment.

Hence, it is common for the value of the real estate to increase over the course of time; an astute investment may result in a high return when the time comes to sell the property. However, it is important to bear in mind that the appreciation of a property is not certain. Choosing the right properties to invest in is key in order to maximize the amount of money you make from your real estate ventures. A further

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element that could contribute to an increase in earnings is a rise in rents.

**Build Equity and Wealth**
Homeowners build equity in their homes when the principle on their mortgages is paid down; this equity takes the shape of a financial asset. The accumulation of equity provides you with the financial foundation necessary to purchase other properties, thus increasing both your rental income and your net worth.

**Portfolio Diversification**
Investing in real estate as part of a diversified portfolio is a prudent course of action to take if you want to protect your money from the effects of an economic slowdown. Let's say that the economy is experiencing a downturn and that this is having an impact on some equity markets. The growth in value of your other investment properties in your portfolio might provide you with some kind of protection against any losses that may occur in any of your other assets.

**Real Estate Leverage**
When it comes to investing in real estate, it's quite unlikely that you have the financial means to pay cash. The price of the single-family home that you want to rent may easily reach $350,000 at such a point in time. The idea of leverage becomes relevant at this point in the discussion. "Leverage" refers to the practice of acquiring real estate by borrowing money from other parties.

Your greatest choices for acquiring loans, the repayment of which may be spaced out over an extended period of time, are financial organizations such as banks, mortgage firms, and credit unions. By doing so, you may increase the size of your real estate portfolio without having to put up the entire sum of money necessary to buy the properties.

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### Competitive Risk-Adjusted Returns

The profitability of real estate investments is dependent upon a number of factors, including asset type, location, and management. The S&P 500, which represents a large cross-section of the economy and is often simply referred to as "the market", is a typical benchmark for investors.

### Inflation Hedge

As a result of the positive association between expanding economies and rising demand for real estate, rising property values might potentially serve as a kind of inflation protection. When economies flourish, more people need a place to live, which leads to a rise in the demand for housing and, as a result, an increase in the price of rent. As a result of this, capital values will increase.

Because real estate often transfers some of the inflationary pressure onto tenants and absorbs part of the inflationary pressure into the form of capital gain, real estate contributes to the maintenance of the buying power of capital.

This essentially means real estate has the potential to act as a financial fortress in times of rising prices, since it may provide a growing monthly income in addition to appreciation.

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# WHAT IS REAL ESTATE BUSINESS MODEL?

The process of mediating transactions between buyers and sellers of property is at the core of the business models used by real estate companies. Everyone who is engaged will benefit from improved communication as well as time and energy savings as a result of this. The broker or seller shows prospective buyers and renters any available homes in the market, and sellers and landlords find tenants and customers.

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# REAL ESTATE BUSINESS MODELS TO CONSIDER

## REAL ESTATE AGENTS

The real estate sector is very dynamic, and as a result, real estate agents have access to a variety of chances for professional advancement. Because you will be going from home to house and customer to customer, no two weekdays will be the same for you. While aiding someone with one of the most important transactions of their lives, you have the opportunity to be your own boss.

In 2021, the median annual salary for a real estate agent was $48,340, as reported by the Bureau of Labor Statistics (BLS) in the United States. A real estate broker who has several certificates and years of experience may anticipate earning $62,010 on an annual basis, on average. Only 10% of salespeople make more than $102,170 a year.

However, entry into the industry is simple and clear. You can receive a real estate license in a shorter length of time and for less money, than is necessary for admission into a good proportion of other sectors that require a university degree but provide equivalent earning potential.

**What Is a Real Estate Agent?**
Real estate agents are certified professionals that mediate deals involving the purchase and sale of homes and commercial properties. A real estate agent that works only for

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the benefit of the seller is known as a listing agent. Buyer's agents are real estate agents who represent clients who are seeking to purchase a house or other property.

Agents may represent either buyers or sellers, but often not both parties in the same transaction at the same time. When it comes to the process of purchasing or selling a home, real estate agents are there for their clients at every turn, and they are a source of knowledge and experience for them.

When trying to buy, sell, or lease a home, parcel of land, or other property, the assistance of a real estate agent is quite helpful and should not be overlooked. There is no national standard for obtaining a license to practice real estate; rather, individual states determine the requirements that must be met for licensing eligibility.

Different states have different laws about what is needed to work as a real estate agent. However, all states require that prospective agents first enroll in and finish a pre-licensing course at an approved real estate school, then take and pass the state licensing test, then activate their license, and finally join a real estate firm. This final bit is crucial. All real estate agents are required to be employed by and work under the direction of a licensed broker at all times. This broker is accountable for ensuring that all agents working in the office comply with all regulations that are relevant to their position.

Although the requirements for education and experience to become a broker are greater than those for being an agent, some agents do make the switch. Brokers often have greater levels of responsibility, greater levels of autonomy, and the ability to hire their own agents.

It's possible for real estate professionals to serve as both listing agents and buyer's agents, although this is seldom done in the same transaction. When purchasing or selling a

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house, real estate professionals are there to guide their customers through the whole process.

**What Is a Realtor?**
There is a distinction to be made between a "Realtor", "real estate agent", and a "broker", despite the fact that these terms are commonly used synonymously. The duties of brokers and agents are clearly separate from one another, with the former having the legal ability to carry out their responsibilities with autonomy.

Only certified real estate agents or brokers who are also members of the National Association of Realtors may call themselves "realtors". A Realtor is a member of the NAR who also abides by its Code of Ethics. This distinguishes realtors from other agents and brokers in the real estate industry.

**Real Estate Agent vs. Real Estate Broker**

- To get a license as a real estate agent, one needs to complete the necessary steps, which include taking pre-licensing classes and the actual exam, but in order to become a broker, one has to complete extra training and lessons;
- Brokers have the option of working independently or starting their own brokerage, in contrast to agents, who are compelled to find employment with brokerages;
- While agents are responsible for making bids, negotiating prices, and completing the acquisition, brokers are more involved in the administrative and legal parts of the deal;
- While brokers are able to accomplish all that an agent can do in addition to managing the brokerage, the main role of agents is to assist clients in finding or

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selling a property;

- While real estate agents make a commission on the sale of a property, they are required to share that commission with the brokerage. On the other hand, real estate brokers may make a commission for each sale of a property and get a portion of the commission that their agents earn.

**What Does a Real Estate Agent Do?**

When working in the real estate market, brokers and agents always put their clients' best interests first, regardless of whose side of the transaction they are representing (the buyer or the seller). Both of these parties serve as intermediaries, especially throughout the offer and counteroffer stages of the negotiating process. They are there to provide assistance at any time and can answer any queries that their clients may have.

Agents working in the real estate sector on both the buying and selling sides also do the following:

- Assist the client in completing any and all required documents;
- Interact with their customers as well as any other relevant parties;
- Detail the many steps that are completed during a typical home inspection;
- Maintain close communication with the customer until the deal is closed.

Customers are served by both types of agents, but in very different ways. In general, real estate brokers need to:

- Have experience in the local real estate market; be

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knowledgeable about the current pricing;

- Be aware of the real estate regulations in their respective jurisdictions;
- Be cognizant of, and able to respond to, the needs of their customers.

**What Does A Real Estate Agent Do For A Buyer?**
A buyer's agent's primary responsibility is to help their client find properties within their specified budget and in the desired location. This necessitates the quest for a house to be conducted both remotely and in the real world. Not only do real estate agents educate clients on the area and market conditions, but they also coordinate showings.

Real estate brokers also owe it to their clients to confirm whether their prospective buyers have previously been approved for a mortgage or not. If you have already been pre-approved for a mortgage, it will be clear to your agent, the sellers, and the sellers' representatives that you are serious about making a purchase.

After a home that meets the buyer's needs has been located, it is the responsibility of the buyer's real estate agent to make offers and participate in negotiations on their behalf.

Agents working in the real estate sector are also responsible for making arrangements for home inspections and appraisals. Most of the time, they already have professional relationships with reputable experts in the sector who are capable of providing the assistance that is required for this.

The acquisition of a home necessitates the completion of a considerable amount of paperwork. One of the responsibilities of a real estate agent is to explain to customers and assist them in understanding the many legal documents and contracts that are involved in the process of

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acquiring a home. In addition to this, they will take care of all the appropriate documentation on your behalf.

Your real estate agent will function as your liaison and coordinator throughout the whole home-buying process, beginning with the initial inquiry and continuing through to the completion of the transaction.

**What Does A Real Estate Agent Do For A Seller?**
Listing agents are the first point of contact for homeowners who are interested in selling their homes. The selling agent will offer an accurate estimate of the value of the home in order to help their clients in the process of determining the asking price. Real estate agents are in the best position to give guidance on how a home may be improved to raise its resale value, since they have more in-depth knowledge of the market.

Another one of the listing agent's duties is to promote the property they are selling. A component of this method entails adding the property in question to the database of the regional MLS. Promotional activities include, but are not limited to, making contact with other real estate professionals, making ads, and holding open houses.

It is very necessary for listing agents to do their own assessments of prospective buyers. Every prospective buyer is not always a serious prospect. When considering whether to schedule a showing or accept an offer, listing agents often do a background check on the potential buyer's financial situation. Listing agents have the necessary training to ask the appropriate questions in order to ascertain whether a prospective purchaser is in a financial position to acquire the home or not.

Listing agents are responsible for negotiating terms and conditions on the client's behalf when selling a home. They

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could negotiate not only the purchase price but also the other costs, such as the closing fee, the home warranty, and any other payments.

During the process of selling a home, a real estate agent has additional legal responsibility for specific activities that take place. In this capacity, they are accountable for preparing and submitting legal documents such as contracts and agreements to the appropriate authorities.

# WHOLESALING

It is essential to have a basic understanding of a wholesale organization before getting started in the business of wholesaling real estate. Wholesale involves selling an item to a retailer, or another business, who will then sell it to a consumer or an end user.

Businesses often need the services of wholesale distributors if they create a product on a large scale. The item will first be purchased in large quantities from the wholesaler by the producer, who will then use it in the production of the completed product. In the real estate industry, a firm is considered to be operating as a wholesaler if it purchases the property from a homeowner and then resells that property to another buyer for the purpose of making a profit.

The wholesale sector of the real estate market is one of the best ways to enter the industry because it provides a lower barrier to entry than other investment options such as fixing and flipping properties.

**What Is Real Estate Wholesaling?**
The practice of real estate wholesaling is a method used by investors as a short-term strategy for earning big profits.

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Wholesale real estate is not the same as retail wholesaling, despite the fact that the two phrases are commonly used interchangeably with one another. In the practice of retail wholesaling, a wholesaler provides a retailer with a large number of products, which the retailer then resells to end users at a price that is substantially higher than what the wholesaler originally charged. Because of the enormous volume of commodities that are given to the retailer by the wholesaler, the retailer is in a position to get significant discounts from the wholesaler.

Contrary to popular belief, real estate wholesaling does not include the simultaneous sale of several properties at prices that are reduced from their market value. It is a different ballgame altogether. Before assigning the agreement to a purchaser, the wholesaler will first promote the property to potential buyers after engaging in a purchase agreement with the seller (usually for a property that is in poor condition).

When wholesaling a home, the goal is to find a buyer for the property before the contract that you have with the current owners expires. Because the wholesaler does not pay the seller until the wholesaler has located a buyer, no money is exchanged between the two sides during this phase of the transaction. If he is successful in selling the home for more money than the seller was anticipating, then he will have made a profit.

Consider wholesale investing if you want to go into the real estate business, but don't have the money for a traditional start-up. The fact that being a wholesaler does not require the completion of any courses, passing any examinations, or obtaining a real estate license is a significant advantage. If you have a lot of patience and are great with people, working in the wholesale market can be a wonderful match for you.

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## Example of Real Estate Wholesaling

Consider the scenario in which a homeowner owns a home, and they have been attempting to sell it for a considerable amount of time, but has not been able to do so owing to the house's dilapidated state. The owner may not have enough money to complete the required renovations, but they are refusing to move out of the property because they feel they will never obtain an offer that is suitable for them. The wholesaler then makes an offer to the homeowner. They settle on a purchase price of $80,000 for the house after reaching an agreement.

The wholesaler reaches out to their network of investing connections and promptly locates a buyer who is ready to pay $90,000 for the property. They then give over the contract to the investor, who is now presented with a potentially profitable chance to refurbish the property. A profit of $10,000 is made by the distributor, despite the fact that they never took ownership of the property.

## Succeeding in Real Estate Wholesaling

Real estate wholesaling is a lucrative industry, but it is not one that should be entered into by just anybody. It is something that requires a considerable commitment of time, effort, and patience on the part of the individual. In addition to this, you'll need to have excellent marketing and communication skills. It is also beneficial to have on hand a group of investors who could be interested in making a purchase of the properties to be wholesaled.

Finding the right sort of property to wholesale is the first step to having a successful wholesale business. Outstanding opportunities include homeowners who are in possession of distressed properties and are eager to sell them. Location, pre-existing facilities, and an asking price that is reasonable are all factors that contribute to the desirability of such properties among potential purchasers and lenders. Before

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you make an offer on the home, you should first determine what kind of improvements or repairs the property needs.

When you are aware of what to expect, it is much simpler to make an offer that is appropriate. If you attempt to negotiate a price that is too low, you run the risk of losing a potential customer. However, if you set the price too high, you could have trouble finding a buyer who is willing to take the risk of acquiring and restoring an expensive distressed house.

It is vital to include a condition in the purchase agreement that provides the wholesaler the right to back out of the deal in the event that he is unable to locate a buyer prior to the date that was originally set for the closure. This helps to reduce the risk that the wholesaler is liable for.

**Real Estate Wholesaling vs. Flipping**

The business of wholesaling real estate may, in many aspects, be analogous to the practice of flipping houses. The fact that they both use real estate as a means of generating money and investing makes them comparable to one another. Both include some aspect of the purchasing and/or selling of real estate.

Despite this, there are a number of key differences between the two. When compared to flipping, wholesaling often requires a lower time commitment. In addition, the distributor does not make any modifications to the residence in any way.

When compared to the practice of flipping homes, wholesaling real estate is a more safe investment due to the fact that the distributor does not take ownership of the property. The second alternative often requires ongoing maintenance in addition to expenditures for essentials such as a mortgage, tax payments, and insurance premiums.

In contrast to the practice of flipping houses, real estate

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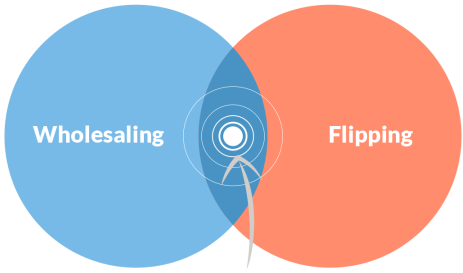
wholesaling calls for a far lower initial investment. In most cases, payments of deposit on just a few of the properties being considered are adequate. The familiarity of a wholesaler with the market and the quality of their investor network are two factors that determine how quickly they can generate sales.

# WHOLETAILING

The term "wholetail" is a portmanteau that combines the business models of wholesale and retail. When entering into a wholetailing arrangement, the investor pays a relatively low price for a property, does just the bare minimum in terms of repairs so that the home can be placed on the multiple listing service (MLS), and then sells the home to a buyer.

It is not unusual for a person to earn between $40,000 and $80,000 from a single deal with wholetailing, which involves a fraction of the work that flipping does.

Wholetailing may be a smart choice for you if you have found a property that needs very little repairs, if you are able to purchase it at a price that is far lower than the market value, and if you have the financial resources required (either your own or those of a lender).




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**What is Wholetailing?**
When it comes to the business of buying and selling real estate, wholetailing is a tactic that integrates aspects of both flipping and purchasing and selling properties into a single plan of action. The wholetailing strategy combines the steps involved in selling a house at a wholesale price with fixing up a fixer-upper.

It's a cutting-edge strategy used by both first-timers and seasoned pros in the real estate market. When compared to other investment techniques, wholesaling offers more leeway in terms of the purchase price, financing terms, target customers, and sale prices.

**How Is Wholetailing Different From Wholesaling?**
In most cases, whole-tailers become the direct owners of the properties they sell. In other words, they don't "acquire" the property by signing a contract and then selling it to someone else. In addition, a whole-tail transaction's ultimate buyer is not always an investor, but might be any buyer.

When compared to wholesaling, retaining the property in the investor's portfolio, enhancing it, and marketing it to a bigger audience offer the potential for a greater return on investment for the investor.

**How Is Wholetailing Different From Traditional Flipping/Rehabbing?**
When an investor "whole-tails" a property, they often pay a price that is lower than the current market value.

Investors often perform the bare minimum in terms of improvements and repairs to get a home up to a minimum acceptable level for sale, rather than a full-scale restoration.

**A Wholetailing Case Study: The Numbers**
Let's look at a real-world scenario to see how a property may

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be wholetailed.

So, let's assume you launch a direct-marketing campaign and throughout it, you come across a distressed home selling for $60,000. You have discovered through market analysis that the After Repair Value (ARV) of this property, which takes into account the extensive renovations that have been made, is $150,000.

After doing the math, you determine that the total cost of restoring this home to its former glory is $30,000. The following is an example of what the figures may look like for a flipper who plans to conduct extensive work:

- ARV = $150,000
- Purchase Price = $60,000
- Estimated Holding Costs ($2,000/month for 3 months) = $6,000
- Estimated Closing Costs = $8,000
- Resale Fees (typical Realtor commission is around 6%) = $9,000
- Estimated Rehab Costs = $35,000
- Total Expenses for this property = $118,000

If you sell the property for $150,000, you might generate a gross profit of around $32,000 on the sale.

Following an inspection, you come to the conclusion that the whole $35,000 renovation may be skipped in favor of focusing on only three specific tasks:

- Fixing problems with the plumbing in the kitchen -

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$8,000

- Putting in new carpets in the main living areas - $4,000
- Re-painting the main living area - $3,000

As a result of this, the absolute minimum amount that you will have to spend on renovations is set at $15,000.

If you fix the most serious health and safety issue, which is faulty plumbing, and do two minor projects to spruce up the property, you may be able to sell the home for a price that is somewhat below the current market value of the home (carpet and paint). This may be tempting to prospective buyers who are interested in purchasing the property at a price that is lower than the current market price in exchange for finishing the remaining aesthetic work.

You will not be able to obtain the full retail value of the property; nevertheless, you will be able to sell it more rapidly to a wider range of buyers and, as a result, earn a higher gross profit.

In principle, the profit margin would look like this once the minimal renovations that were indicated above have been performed and the property has been wholetailed:

- ARV = $130,000 (keep in mind the slightly reduced ARV due to your partial renovation)
- Purchase Price = $60,000
- Estimated Holding Costs (1 month at $2,000/month) = $2,000
- Estimated Closing Costs = $6,500
- Resale Fees (typical Realtor commission is around 6%)

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= $7,800

- Estimated Rehab Costs = $15,000
- Total Expenses for this property = $91,300

If you are successful in selling the house for $130,000, you will have the opportunity to make a gross profit of around $38,700.

It is estimated that you will make an additional $6,700 in net profit from your investment if you choose to wholesale the property rather than do a full renovation on it and then resell it. You may be able to boost your financial return while simultaneously lowering the amount of effort and investment you put into the endeavor. Here, everyone benefits.

**The Advantages Of Wholetailing Real Estate**

In comparison to flipping properties or engaging in wholesale deals, wholetailing real estate offers a number of advantages that should not be overlooked. The overall risk is smaller than compared to the typical "fix-and-flip" strategy, since less money and time is spent on the improvements. A wholetailing agreement has the potential to offer far larger profits than a wholesale transaction does.

First, let's do some calculations to figure out why this is the case:

Let's say you stumble upon a distressed property that's being sold for $50,000. You reach the conclusion that the home's after-renovation retail value is $165,000 based on your familiarity with the market or the results of a computerized property valuation tool. On the other hand, completing improvements will cost you close to $75,000 in total.

- A deposit is required from wholesalers (which for this example can be $100), but it is returned to them when

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a successful transaction has been completed. Because of the property's poor condition, the only people who would be interested in buying it from you are other real estate investors.

Nevertheless, you are successful in finding a buyer within the allotted amount of time, and the investor acquires the home from you for the price of $60,000. You make a profit of $9,000 after deducting the cost of advertising and marketing from your overall expenditure, which totals $10,000. This is because you saved money by not investing in the real property or making any necessary repairs.

- For you as a house flipper, the initial investment will be $50,000, and then you will need another $75,000 to make repairs and improvements. Holding costs of about $6,000 will be incurred over the duration of the ninety days that it will take you to complete the renovation and resale of the property.

  Putting your property up for sale is the next thing to do, and you can do this either on your own or with the assistance of a real estate agent. Regardless of which route you choose, you should be prepared to spend around $7,000 on marketing, staging, open houses, and other related expenses. This increases the price of your flip to a total of $138,000 as a result of this addition.

  If you are successful in selling it for the amount that you are asking for, which is $165,000, then you will have a profit of $27,000. This, of course, presupposes that everything goes according to plan, so take it with a grain of salt. If you discover hidden defects in the property, if the cost of repairs is larger than expected, or if the house sits on the market for longer than

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planned, then that amount may decrease drastically.

- However, as a wholetailer, you can see how freshening up the location with just a few little adjustments would make a significant difference. In addition to the need for new sod to be installed in the yard and the installation of new carpet in the rooms, there are plumbing issues that require attention.

  You have estimated that you could sell the property for close to $110,000, which is less than the asking price but would still represent a sizable return in comparison to the amount that you initially invested. You invest around $20,000 in some very minor modifications, in addition to an extra $2,000 due to the fact that you retain the property for a month. Because the home is ready to be moved into but might need some aesthetic repairs, it will be appealing to investors as well as normal home buyers, which will reduce the amount of time it spends on the market.

  For the sake of providing some context for your investment, let's imagine that the costs of advertising and listing amount to $2,000. If you were able to sell the home for the amount that was being asked for it — that is, $110,000 — you would realize a gross profit from the wholetailing deal of $36,000.

When compared to the other two methods of investing in real estate, wholetailing carries the least amount of overall risk and requires the fewest overall investments, but it offers the potential for the best profits.

# BUY AND HOLD INVESTING

A buy-and-hold investing plan is the one that offers the most potential for a person to increase their wealth and total assets

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over the course of a long period of time. The buy-and-hold investing strategy entails purchasing properties at or a lower price than their market value, renting those properties to tenants in order to create income, and then holding on to those properties as investments.

The goal of a buy-and-hold investment strategy is to build a big portfolio of properties and to keep all of those properties for an extended period of time.

Finding a dependable source of funds to acquire real estate is a significant obstacle for this business approach; hence, it is advised that you explore private money or asset-based loans as a means of financing your property acquisitions.

**What is buy-and-hold real estate?**
Buying a rental property, maintaining it for at least five years, and then either refinancing it or selling it at a profit is the typical buy-and-hold real estate investment strategy. This is accomplished in conjunction with other, more immediate strategies, such as fix-and-flip investing.

Some real estate investors purchase properties with the intention of holding on to them for the foreseeable future.

For illustration, the BRRRR method (buy, rehab, rent, refinance, repeat) may be applied to the practice of buying and holding real estate. The equity in one property may be used by an investor as a down payment on another property via the use of a cash-out refinancing, which eliminates the need for the investor to sell the first property. Once the market value of both properties has improved, the investor would most likely do a cash-out refinancing transaction on both of them in order to buy a third income-producing investment property.

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**Buy And Hold Vs. Flipping**

Both the buy-and-hold strategy and the flipping of houses are common approaches to investing in real estate. House flipping is a predominant strategy of real estate investment. To "flip" a house is to buy it for a price that is lower than what it is really worth, then make improvements to it so that you may sell it for a higher price.

This strategy will result in one-time earnings, but real estate investors who desire a constant source of revenue will need to flip properties on a regular basis. When compared to investing in buy-and-hold real estate, house flipping requires a far higher level of care and attention.

When deciding which of the two options to go with, an investor's comfort level with risk is an important factor to take into consideration. Many people believe that buy-and-hold investments, particularly ones that are made in a real estate market that is growing, are safer bets than renovations.

This is a result of the increasing complexity of the process of flipping real estate, which involves locating a suitable purchase price, employing reputable contractors, adhering to a rigorous renovation timetable, reducing holding expenditures, and reselling at a gain. When you buy a house with the intention of flipping it, you will need more money available up front for necessary renovations.

It is essential to bear in mind that the most successful real estate portfolios of today often include assets originating from a diverse range of categories. In fact, you could find that renting out properties that have recently been flipped provides the advantages of both buying and selling.

Your chosen degree of involvement, your tolerance for risk, and the amount of cash you have available will decide whether you should purchase an asset to keep or flip it. Any

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opportunity, if pursued appropriately, has the potential to result in significant financial benefits.

## Types of buy-and-hold real estate

Just about every form of property may benefit from a buy-and-hold investment strategy, including:

### Vacation rentals

A good illustration of "buy and hold" is the purchase of a vacation rental property. A potential source of passive income for an investor is the purchase of a vacation home with the intention of leasing it out to guests. An additional perk is a fact that they have the option of using the vacation property for themselves.

Once the property has hopefully increased in value over the course of several years, the investor will be able to sell it at the right time for a profit and then continue to increase their portfolio by purchasing additional real estate.

### Single-family homes

Single-family homes are a common choice for investors who want to use the "buy and hold" investment strategy. In this strategy, real estate is acquired and then leased out long-term to occupants of the property.

### Turnkey real estate

When purchasing turnkey real estate, you also have the option of using the buy-and-hold strategy. One option is to make investments in real estate that are already managed by a third party and is readily available for occupation. There is also a possibility that there are already people living in that location. This method of investment is especially well-liked among novice investors since it has a low barrier to entry.

You just purchase the home outright and then immediately start receiving rent payments. When searching for turnkey

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real estate, one of the most effective strategies is to get in touch with a turnkey provider. These are local real estate brokers and managers that have a specialty in discovering, purchasing, and managing residential rental properties.

This is a common approach for rookie investors who want to test the waters in the real estate market without taking on any initial maintenance obligations, since it allows them to get their feet wet in the market without having to worry about upkeep. Even if you don't work with a provider, you still have the option to invest in turnkey houses. Nevertheless, working with a provider will allow you to avoid wasting time and effort on the technical aspects of the investment.

**Multifamily buildings**

If you currently own some rental properties or single-family homes but are looking for a means to diversify your assets, purchasing a multifamily home may be the right choice for you. A buy-and-hold investor would do well to consider purchasing a multi-unit building as an investment. Although renting to many families could require a greater initial investment, the increased income is more than worth it in the long run.

**Commercial real estate**

If you are interested in taking things to the next level, one option for you to consider is applying the buy-and-hold strategy to investing in the commercial real estate market. Because of the higher initial expenses, the more complicated leases, and the more challenging maintenance issues, this is not a frequent option for novice real estate investors. Although this is a high-risk investment, there is tremendous potential for high profits with this buy-and-hold strategy over the long term.

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## Advantages of buy-and-hold real estate

### Monthly recurring rental income

When real estate is acquired with the intention of being retained for rental reasons, this might potentially offer a reliable monthly stream of income for the investor. CoreLogic published statistics from November 2021 showing that yearly increases in single-family rental rates averaged 11.5%. In certain regions, such as Miami, Phoenix, and Las Vegas, the annual rent increases went as high as 33%.

### Property appreciation long-term

When done with a long-term perspective in mind, investing in real estate may potentially help the creation of wealth over the long run. According to the data provided by the Federal Reserve, the median sales price of a house has increased by more than 238% over the course of the past two decades. A home that was purchased for $150,000 twenty years ago and kept in excellent condition would be worth around $357,000 now, representing an appreciation of $207,000.

### Potential hedge against inflation

Real estate has a well-established track record of being an effective inflation hedge in the event that it is acquired with the intention of being held for an extended period of time. In most cases, landlords are permitted to increase tenants' rents by the same amount that the consumer price index (CPI) increases by each year. Despite this, rents have a history of increasing by a greater percentage than the CPI has. Between the years 2001 and 2020, the national average of the median sales price of a home climbed by 238%, whereas the general inflation rate in the United States was 41.26% over the same time period.

### Significant tax benefits

In addition, as compared to many other forms of investments, buy-and-hold real estate provides a number of significant tax benefits, including the following:

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- Management fees, property taxes, and insurance premiums are examples of expenses that are tax-deductible since they are directly tied to the upkeep of the property;
- Mortgage interest deduction;
- A reduction in taxable income achieved via the use of a depreciation deduction on residential rental property over a period of 27.5 years;
- Owners may deduct expenses for continuing education, travel, and a home office;
- Rental income may be excluded from Social Security and Medicare FICA taxes;
- Investors who own pass-through businesses and who also generate QBI (qualified business income) may be eligible for the maximum 20% pass-through deduction.

## Drawbacks to buy-and-hold real estate

A buy-and-hold investment property may provide a variety of long-term rewards. On the other hand, similar to any other kind of investment, there are expenses that one must take into consideration.

### Illiquid

Even when the owner is desperate and willing to sell for much less than the property's worth, it might take up to thirty days or more to sell the real estate. This stands in sharp contrast to the speed with which one may sell other types of financial assets, such as stocks and treasury notes.

### Property management

Dealing with essential upkeep and problems with tenants may be a real nuisance. There may be times when you need

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to track a tenant in order to collect rent or perform a late-night repair to your rental property. Because of this, a significant number of property owners collaborate with an external property management agency.

**Market cycles**
The real estate market often shows trends lasting many years, including periods of recovery, boom, hyper-supply, and recession. When a buy-and-holder makes the decision to sell, their potential profits might be significantly reduced by a downward trend in the market. If investors can anticipate market swings and avoid selling into a falling market, they will have a better chance of earning profits.

**Changing neighborhoods**
The ups and downs of each area may have a significant impact on the pricing of homes in that neighborhood. When investing in real estate using the buy-and-hold strategy, one of the potential risks is that the value of the property may drop if a major company leaves the area or if property taxes are significantly increased. The inverse, of course, is also true.

# HOUSE FLIPPING

The most well-known strategy for gaining financial success in the real estate sector is to build money by acquiring and selling houses for a profit, as depicted by several HGTV programs. These shows gloss over the reality that home flipping is among the riskiest real estate business strategies, owing to the long period (often six months or more) that may go between the purchase and sale of a property.

When done properly, real estate flipping may result in considerable returns, despite the fact that it carries a higher level of risk than other forms of real estate investment. There is a possibility that a single transaction might result in

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revenue gains of up to $70,000.

**What is house flipping?**
A house is said to be "flipped" when it is purchased, kept for a limited amount of time, and then resold for a profit. You are not acquiring a home in which you intend to reside permanently; rather, you are making an investment in real estate in the same manner that you would with a stock.

In some instances, the "flipper" will purchase a run-down home and make the necessary repairs and enhancements to get it ready for the market. On the other hand, in other instances, "flipping" will involve doing no work to the house and simply keeping it until the price rises to a point where it exceeds the initial investment. The goal is to make a profit in a very short period of time, anything from a few months to a year, by acquiring properties at a discount and afterward reselling them at a greater price than what you paid for them.




**How House Flipping Works**
Home "flippers" are real estate investors who seek to generate a profit by rapidly purchasing and selling a single property or a portfolio of properties. When trying to establish a passive income stream, it is typical practice for investors to participate in several property flips each year.

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Therefore, what are the steps involved in "flipping" a house or any other kind of structure? To put it another way, you want to buy things at a discount and sell them for a profit, just like with every other investment. You hasten to complete the transaction and protect your funds as quickly as possible, as opposed to using the buy-and-hold strategy.

It's important to prioritize speed above maximizing profits when setting goals for your business. This is due to the fact that your current financial condition becomes worse with each passing day because of mortgages, utilities, property taxes, insurance, etc. This is the fundamental concept, despite the fact that there are a few issues with it.

Gains in home flipping often come from either a rise in the property's value as a result of a competitive real estate market or an increase in the value of the property as a result of improvements made to it — or both. For example, a real estate investor may purchase a dilapidated home located in a desirable neighborhood, give it a comprehensive makeover, and then resell it for a profit.

## House-flipping advantages and disadvantages

There are some people who find enjoyment in the tedious process of building their own renovations to properties. However, being a house flipper comes with other extra perks, as well as many risks that are involved in the business.

### Pros

#### Could make a decent profit

The analysis conducted by ATTOM to determine the difference between both the average buying price paid by investors and the average resale price found that the average gross profit for all flips in the United States during the first three months of 2022 was $67,000.

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**Find a new part- or even full-time job**

Flipping houses may be a full-time profession for some people, while others do it on the side as a way to supplement their income, prepare for retirement, or take more exotic vacations.

**Help improve neighborhood values**

Investing in the renovation and resale of homes may be a lucrative strategy to increase the value of the real estate, particularly in areas of the city where decrepit homes are both a nuisance and a drag on property prices.

**Diversify your investments**

One frequent tactic for reducing an investor's total exposure to risk is to diversify their investment portfolio among a number of different asset types. One of the most popular types of investments for the long term is property, which often appreciates in value in the opposite direction of the stock market and offers a return that is greater than that offered by bonds.

The diversification of one's financial risks via the purchase of real estate is a smart move, and property flipping is a terrific method to generate a profit off of these assets.

**Cons**

**Homes will likely have significant issues**

To prepare a piece of real estate for sale may require a significant financial investment, and if issues arise throughout the process that wasn't anticipated, those costs may quickly escalate.

**Potential for legal issues**

If you buy a property that does not have a clean title or if you sell a home that has issues that you did not adequately disclose in the listing or disclosures, you always run the risk of being sued for your actions. As a result of this, it is essential to incorporate into your team the services of an

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experienced real estate attorney.

**The home might not sell quickly**

When a house is placed on the market with the intention of being resold, the owner is responsible for expenses such as the mortgage payment (if one is still owed), property tax, and property insurance. You shouldn't rule out the prospect of having to pay annual maintenance fees or dues to a homeowners' association. Because of this, it is a good idea to have extra cash on hand in case the flip doesn't turn out as planned.

**Lots of pressure**

Because there is always an element of risk involved, flipping houses may take a significant emotional and financial toll. It might be too taxing on your financial resources. The experience might be emotionally draining for you if you don't have the right mindset, support structure, or self-discipline to get you through it.

## Why Start Flipping Houses?

The independence to set one's own hours and the prospect of acting as one's own boss are two of the key drivers behind many people's decisions to become real estate investors. Real estate investment as a commercial activity can potentially provide monetary stability while also delivering a great deal of fun. Real estate is one of the few career opportunities that may provide you with the same level of freedom as well as the financial rewards as all other lucrative options. This makes it an attractive choice.

Even when the epidemic came close to halting economic activity in the United States, a well-planned strategy for flipping houses was effective and yielded positive results.

It is essential to keep in mind, however, that the answer to this question will have a multifaceted significance for the

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most astute investors operating in the modern market. On the outside, flipping houses seems to be a sensible option to start one's own business and earn one's livelihood.

However, house flipping is, for some people, only a stepping stone on the path to their ultimate ambition of becoming millionaires. It allows investors to gain financial independence and the freedom to plan their own lives thanks to the success of their real estate investments. Property investment also paves the path for many to achieve their life objectives, whether those goals are to travel the world or to spend more time at home with their loved ones.

**Where to Start**

Your first and foremost priority should be to reduce the amount of money you stand to lose while simultaneously increasing the amount of money you stand to gain. When purchasing a home, be sure not to overpay for it (by first determining its worth), and be sure to add in the cost of any necessary repairs or modifications. If you have such information, you will be able to calculate a reasonable price at which to purchase the property.

The cost of a property should not exceed 70% of its ARV, minus the cost of repairs, according to the 70% rule. The value of a home after all necessary repairs is referred to as its "After Repair Value" (ARV).

One illustration of such a scenario is as follows: According to the 70% rule, a buyer shouldn't spend more than $91,000 on a house that has an after-repair value of $180,000 but needs $35,000 in renovations. $180,000 x 70% = $126,000 - $35,000 = $91,000.

This endeavor will require the same things as starting a small business, including time, money, patience, skill, and hard work. You shouldn't be surprised if it turns out to be more

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difficult and expensive than you think. Be careful, though, since if you're just trying to become rich quickly by flipping properties, you might find yourself in a very difficult financial position if you don't take this seriously. If you are thinking about getting into the business of flipping houses, you need to be aware of how to avoid making these five common mistakes.

**Not Enough Money**

It won't come cheap if you want to mess about in the real estate market. The price paid to purchase the property is the initial sunk cost. Although it is not uncommon to hear claims of financing with a low or nonexistent down payment, it may be difficult to actually find a credible source that provides such conditions. Paying interest on a mortgage is just another expense that comes with the purchase of a property.

Following the implementation of the Tax Cuts and Jobs Act in the U.S., the interest that you pay on any loans that you take out is still deductible from your taxes. However, it is not a total tax write-off. When determining how much money you need to make from a transaction in order to reach a point where you are profitable again, be sure to include the amount of interest that you will be required to pay.

In addition, if you utilize a mortgage or home equity line of credit (HELOC) to finance the acquisition of your flip property, the only portion of the interest that you pay that is tax-deductible is that portion of the loan. Your payments for the principal, taxes and insurance premiums are not deductible.

You need to do your research in order to get the best possible mortgage for your needs and the lowest possible interest rate in order to save money. Utilizing a mortgage calculator is a straightforward method that can be used to research various financing costs and evaluate the various

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interest rates provided by various lenders. Even if you buy a piece of real estate with cash, there will still be ongoing costs connected with maintaining it, as well as possibilities that you will miss out on because of the money you spent.

Making a profit in modern times is more difficult than it was in times past. According to ATTOM Data, the average gross return on investment experienced during the first quarter of 2022 was the lowest it has been since 2009. There is still the possibility of making a profit, but you should proceed with caution. In 2022, the usual gross profit from a flip was $67 thousand, but keep in mind that this is before deducting any expenditures. The fact that this figure is lower than the gross profit made in the first three months of 2021 is further evidence that in the real estate industry, time is of the essence.

It is also essential to take into account the whole cost of the modifications. In order to turn a profit from the renovation and sale of the home, the purchase price, the cost of maintaining the property, and the cost of the modifications must be less than the amount that is anticipated to be realized when the house is put up for sale.

**Not Enough Time**

The profession of flipping houses is one that demands extensive renovations and a lot of time investment.

The search for the acquisition of the perfect house might take a significant amount of time. After you have purchased the house, you will need to put in some effort to make it habitable. If you have a regular job, demolition and rebuilding could chew up valuable time after work and on the weekends. Even if you pay someone else to do the work, you will end up spending more time than you anticipated providing oversight, and the money that you spend will eat into any potential profit that you might have earned.

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After you have finished the renovations, you will need to make arrangements for the property to be inspected to ensure that it complies with all of the local building rules before you can put it up for sale on the market. In the event that it does not, you will be required to spend more time and money in order to correct it.

The next problem is that selling a home might take a significant amount of time. Showing prospective buyers around the house may require a significant amount of your time, what with all the traveling you'll need to do between the office and the home itself. If you engage with a real estate agent, you will also be responsible for paying them a commission.

Several people would be better off if they retained their day jobs, since they allow them to make the same amount of money on a constant basis without having to take any risks or put in a significant amount of effort.

**Not Enough Skills**

It is common practice for professional builders and those employed in specialized professions such as carpenters and plumbers to pursue house flipping as a secondary source of income. Because of their extensive expertise and years of industry experience, they are in an excellent position to identify and fix up a property. They get unemployment compensation from their union jobs, allowing them to work on side projects throughout the extended winter months.

When it comes to turning a profit in the real estate flipping industry, there is no substitute for putting in the necessary amount of labor. Being handy with a hammer, having a passion for putting in carpet, being able to roof a house, and putting in a kitchen sink are good skills to have in order to effectively flip a property.

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If, however, you have no clue how to differentiate between a screwdriver with a Phillips head and one with a slotted head, it is highly recommended that you employ a professional to handle the maintenance and improvements. As a result, the likelihood of achieving a good return on investment will be reduced.

**Not Enough Knowledge**

Choosing the right property at the right price and in the right location is one of the most important factors in determining your level of success. For instance, trying to get a return of $80,000 on an investment of $60,000 in a neighborhood where the average price of a home is $170,000 isn't all that reasonable. There are just too many elements that influence the efficiency of the market for anything like this to occur often.

Even if you get the deal of a lifetime, such as purchasing a foreclosed property for a few cents on the dollar, you still need to determine which repairs are really required and which ones can be put off until a later time. You need to know when to cut your losses and abandon the project before it spirals out of control and becomes a financial black hole. In addition, you need to be familiar with the necessary tax and zoning laws.

**Not Enough Patience**

Serious investors know the value of patience and are willing to hold out for the perfect property. The choice of a first residence is often made in a hurried manner by newcomers. When they finally come to the conclusion that they need assistance with something that is beyond their capabilities, they choose the first contractor that presents a bid to them. Either the serious investors carry out the work directly, or they plan ahead to employ a team of competent subcontractors.

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Many first-time homeowners seek the services of a realtor while selling their homes. Professionals often rely on "for sale by owner" marketing as a way to both save money and make more money. People who lack experience have the misconception that all they have to do is throw on some paint, rush through the process, and they will make a killing. On the other hand, those who are professionals in real estate are well aware of the time commitment and the tight profit margins that are inherent in the industry.

## How to Start a House-Flipping Business

It takes time and preparation to become successful at house flipping, so you should have your funds and target properties in order before you go in. Here are a few steps to follow when starting a house-flipping business.

### Write a business plan

Before you make any investments or take any other actions toward starting your own house-flipping venture, you need to start by writing a business plan. This should be your very first step. Having a sound business plan in place is critical for ensuring that your company is successful, that your estimates of future profits are accurate, and that you are able to attract investors.

It is essential to give your business plan a lot of consideration and to include enough information in order to be successful. You have the option of sitting down and writing it from scratch, or you may make use of a template that has already been created. No matter the technique that is used, it is essential that the fundamental components of a business strategy be included.

To get started, you should compose an executive summary that details the objectives of your firm, the path it intends to take, some approximate estimates of its financial status, and the individuals who will be in charge of operating it.

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The remaining parts of the company's strategy have to center on the market as well as the companies that are in competition with you. In the end, you need to make sure that there is adequate demand to maintain your house-flipping business. According to Fundera, a lack of sufficient demand is the reason that 42% of small businesses fail. You should not become a member of such a statistic because you did not prepare enough before establishing your business.

In addition to this, the services that your firm will provide, the expenditures that are connected with doing so, and the anticipated income should all be included in your business plan. You need to make a list of your financial resources, the amount you anticipate spending on properties to flip, and the profit you expect to generate from the venture.

**Grow your network**

Because flipping houses requires a significant investment of time and energy, you will be in need of a wide variety of tools to complete the task. Utilizing the resources at your disposal is the most effective method for making the most of your capabilities. Hence, it is essential to determine what those resources are. Being knowledgeable about real estate, having connections to talented tradespeople, or even just having a property that has potential are all significant benefits.

Get in contact with members of your family and your social circle who have previous experience investing in real estate, especially in the part of the city in which you want to purchase a house. Personal experience and word of mouth are two of the best ways to locate dependable wholesalers, subcontractors, and real estate agents, who will help you find and complete projects at a cost that is more manageable for your budget.

You should get in touch with people you already know in the

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industry, either professionally or personally, and ask those people for introductions to other professionals in the industry. Join a local organization or a regional club for real estate investors to network with other professionals in the real estate industry.

**Choose a business entity**

In order to participate legally in house-flipping, you will need to choose a valid business structure for your firm and then register it with relevant state authorities that have jurisdiction in the area.

You have a number of choices available to you when it comes to the organization of a business. However, you should choose one that offers limited liability protection, such as an LLC or corporation.

Liability insurance is a must in the business of real estate flipping, since the profession is fraught with so many potential risks. If a client sues your company because of a problem with a house you flipped and the case goes to court, you need to take measures to protect your assets from being taken by the plaintiff. If you need advice on determining which kind of business structure is most suitable for your firm, you should speak with a business attorney.

**Obtain an EIN, insurance, permits, and licenses**

In spite of the fact that having your business formally registered is the first step toward establishing your reputation as a home flipper, there are still some administrative matters that need to be settled. One must first submit an application for an EIN (Employer Identification Number). This number serves as the "social security number" for your company and will be required if you submit an application for financial services such as loans, credit cards, or bank accounts, as well as for paying taxes.

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The next step is to investigate the various commercial insurance policies that are available. Businesses need to evaluate their options for disability, unemployment, and workers' compensation insurance so that they can protect themselves against potential financial losses. To further safeguard your firm, its employees, and its assets, you need to investigate the possibility of obtaining general liability insurance as well as commercial property insurance.

At the end of the day, you'll need to be in possession of the necessary licenses and permits to be able to successfully manage your business. The particular licenses and authorizations that are necessary for you to operate a firm in the construction sector will vary from state to state and depend on the sort of work that you are doing. Check with the regional chamber of commerce and consult with an attorney specializing in commercial law to be certain that you have gathered all of the essential papers before beginning work.

**Find suppliers and contractors**

After you have registered your company, the next step is to start searching for suppliers and contractors that can help you get your business off the ground. Even if you want to put in some "sweat equity" while flipping properties, you may still need the assistance of outside contractors. Only hire independent contractors who can demonstrate their value by providing a portfolio of their previous work, references, and good reviews from satisfied customers.

Your reliable contractor may also examine the renovation plans you have chosen as well as the financial projections you have made to verify that they are fair and practical. In addition, it is essential to choose reliable suppliers that are able to work within your budgetary limits. You can discover some trustworthy options through your contacts and by doing some research.

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**Assemble a team.**
Regardless of whether you will be working with a partner, using outside contractors, or doing the required repairs and modifications on each property yourself, you will need to gather a capable crew in order to complete the project successfully. In particular, give some thought to recruiting for these jobs, since they may be quite helpful in terms of preserving order and increasing return on investment:

**Partners and investors**
Excellent potential partners might be found in the form of an active private investor already in your network, or an investor in real estate who is looking for a project manager. It doesn't matter whether it's financial backing, labor skills, industry knowledge, or even simply a strong work ethic; a solid business partner should always bring something to the table when it comes to collaboration.

According to Jamell Givens of Leave the Key Homebuyers, one of the primary advantages of having a business partner is the ability to benefit from having another person look at a purchase from a variety of perspectives. While one partner may just be interested in the home's profitability, the other may have knowledge of the neighborhood or a relationship with reputable contractors.

**Realtors or property owners**
In the business of flipping houses, it is quite helpful to have prior experience in the field as well as an interest in property and real estate markets. With the support of an experienced partner, the process of locating viable properties, choosing the most lucrative modifications for a given location, and successfully finalizing the sale of the restored property goes much more smoothly.

You might also consider owner financing or seller financing if

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you know a homeowner who is eager to sell their house and has the money available to loan you so that you can make the necessary improvements and alterations to the property.

**Legal counsel**
Before making large investments or purchasing property, one should first consult a lawyer regarding any business arrangement or binding contract.

**Obtain financing**
You and your business partner have completed your research and may have even found the first property to flip. That is to say, you already have the money necessary to complete the first property flip that your business will do.

If this is your first time flipping properties, it is quite unlikely that you will be able to get a traditional bank loan. In most cases, financial institutions will only bestow their seal of approval on well-established businesses that have maintained their level of success for a considerable amount of time.

In the industry of flipping real estate, time is essentially money. As a result of this, the best form of loan for flipping houses is a short-term financing option, which often does not last more than one year. On the other hand, the average length of time it takes to repay a bank loan is between five and seven years.

However, there is a substantial selection of financing choices available for fix-and-flip deals. If you are just getting your business off the ground, one possibility that is available to you is to use money from your savings or assets. Because it is very doubtful that you will be able to get a loan for your firm from a traditional lender, you will need to invest some of your own money (a.k.a. “Having your skin in the game”). Before making a final choice, you should always give careful

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consideration to a wide variety of financing options.

**Source your deal**

When determining whether a house can be successfully flipped for a profit or not, several factors, including the price of labor, the value appreciation of the modifications, and the supply and demand dynamics of the local housing market, all play significant roles.

If you know the demographics of the people who are interested in purchasing the property, you will be better equipped to pick between a regular broker, a wholesaler, or a real estate auction. For example, a wider range of properties that have been foreclosed on or are in some other kind of problem will be available via a wholesale broker or auction. However, if you are not acquainted with the real estate market or if you are searching for a specific kind of property or building, a regular broker could be the most suitable choice for you.

Think about how long and how much money your fix-and-flip loan will enable you to spend on a house, and use that information to evaluate what kinds of fixes or renovations you will be able to afford to do.

## What Is A House Flipping Business Plan?

The single most important thing that you need to have in place if you want to be successful as a real estate investor is a business plan for flipping properties. Because of this, a business strategy that involves flipping houses may give one of the best possible returns on investment when it is well-planned. It is not difficult to argue that having a sound business strategy is essential. Yet, this raises the question: what precisely constitutes a business plan for flipping houses? Furthermore, why would a person who aims to flip homes need to utilize one?

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A house flipping business plan is just as the name implies. It is dedicated to buying and selling homes for profit. Keep in mind, however, that a good business plan for flipping homes isn't written with the intention of flipping just one. Rather, a solid flipping strategy is meant to serve as a road map for investors to follow over the course of their whole careers. So, if you're an investor who wants to run a successful flipping agency, you need a real estate flipping business plan.

The home-flipping business plans that have proven to be the most successful in recent years not only provide a path to profitability, but also give discerning investors the chance to make consistent profits part of their routine.

**Why You Need A Business Plan For Flipping Houses**

House flipping is not something you should simply decide to undertake on an impulse. Instead, investors should make preparations in order to improve their chances of success and to have a backup strategy in case things don't go according to plan. But remember, a business strategy for house-flipping does more than merely steer investors in the right direction. A comprehensive real estate flipping business plan should also:

- Help the company develop an organizational structure that will be advantageous to its investors as well as the company itself;
- Let your other investors know how serious you are about investing, which may result in them rewarding you with access to more reputable connections;
- Help you determine the viability of alternative revenue strategies;
- Make it as easy as possible for investors to articulate and communicate their ideas and vision;

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- Streamline the decision-making process for lenders over which customers to accept.
- Provide assistance to financiers in the process of turning their ideas into real business activities;
- Highlight the strengths and weaknesses of a business;
- Make wary investors evaluate their degree of willingness to take risks.

**Important Steps In Your Fix-And-Flip Business Plan**

It would be unreasonable to presume that even businesses in comparable situations would have identical approaches to their commercial endeavors. In addition, there is no failsafe strategy for generating money by flipping properties that can be used by all investors in any specific market. Similarly, the success or failure of an investment may be determined by a number of different circumstances. As a result, the following elements should be included in any thorough template for a business plan for house flipping:

**Executive Summary (Mission Statement)**

In the executive summary of a flipping company's business plan, the investor's objectives have to be articulated in a way that is both obvious and succinct. It's the first thing consumers see, and it plays a huge role in their decision about whether to do business with a company or not. In many respects, the executive summary is the core of a business. As a result, the organization's purpose and long-term goals have to be articulated clearly in the executive summary.

**Team Dynamic**

In order for a company strategy or remodeling project to be effective, it is vital to define the dynamics of the team. Decide who will take responsibility for the most important jobs, then assign them to those positions.

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There is no need for each and every member of the ranks to be acknowledged, but the most senior leaders really should be. Include not only the names and titles of every member of the team, but also a short description of the functions they perform and why it is crucial for you to have them in the team.

This section's goal is to prevent uncertainty regarding who is accountable for what moving forward by laying out the obligations that will be shared by all parties involved. This section will ensure that everyone is aware of their own tasks and duties.

**SWOT Analysis**

The use of a SWOT analysis, which stands for "strengths, weaknesses, opportunities, and threats", is a tried-and-true technique for evaluating a company. Doing a SWOT analysis may be of tremendous assistance to newcomers in the real estate investing industry. When it comes to being prepared for what lies ahead, one of the most helpful things a real estate investor can do is to take into consideration their own skills and limits. Even more importantly, conducting a comprehensive and impartial SWOT analysis will demonstrate to investors where opportunities exist and how they may most effectively seize those prospects.

**Opportunity**

Investors would be wise to take note of the issues that their industry is currently experiencing, as well as the opportunities that may become available as a result of those challenges.

Homeowners who are having trouble making ends meet are in a difficult situation; this is a terrible but honest reality. However, the situation they are in presents an opportunity for investors to come in and provide a helping hand. Nevertheless, it is ultimately up to the individual investor to find out what opportunities are there and figure out how to make the most of those opportunities. In this part of the

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business plan, the objective is to discover the needs of the target audience and to create a solution that is suitable for meeting those criteria.

**Market Analysis**

A market study for a company that specializes in house-buying and selling should put primary emphasis on the metrics that are most relevant to the target market. Market assessments, just as their name indicates, provide investors with an in-depth look into the settings in which they intend to conduct their operations.

The past, the present, and the future — each of these should be treated with equal consideration. Included in the report needs to be shifts in market share, changes in close competitors, the market history, expenses, pricing, and any other information an investor deems relevant. If a market analysis is as comprehensive as it can be, an investor will get the most potential advantage from it.

**Financing And Projections**

The most successful plans, as one might expect, center on the continued sustainability of the organization's finances in the years to come. The ability to effectively manage one's own company's finances is absolutely necessary; nonetheless, developing a house-flipping business plan ought to take precedence over almost everything else.

You should include a description of the pricing model you intend to use, as well as any pricing estimates you developed when carrying out market research. Investors ought to provide specific information regarding their funding strategy, such as where they intend to obtain money and how they intend to put it to use. If projections are made for at least three years into the future, investors' fears about unexpected and undesired shifts can be alleviated.

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In the section on funding, you should also discuss the investors' plans for how they want to fund future acquisitions. Remember to include specific information regarding the expenses and timeframes associated with utilizing the various sources that you intend to get in touch with. When it comes to funding an investment, having more choices at one's disposal is always preferable.

**Growth Strategy**

In order for investors to effectively construct a business strategy for house flipping, they will need to invest the time to do so.

Even if the primary goal of the business plan is to bring in new investors, the plans for house-flipping operations should be designed with expansion in mind. The process of expansion might be challenging for companies that aren't well-prepared for it. As a result of this, it is strongly suggested that you incorporate into your business plan a section that provides an overview of any growth strategies that might be relevant.

It is best to think about your future professional trajectory from the beginning of a project, rather than while you are in the midst of a crisis. Those who begin with a structure that is conducive to growth will have a much easier time adjusting to new circumstances.

**Lead Generation And Marketing**

An outline of strategies to attract prospective purchasers should be included in the business plan for any house-flipping venture that has any chance of being profitable. If this component were missing, the remainder of the company would be unable to function properly.

Every house-flipping company that wants to be successful needs to have a consistent supply of hot leads coming in, and

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this can only be accomplished by employing an effective marketing plan.

It is essential to keep in mind that the cohesive execution of a whole marketing plan is what will determine the level of success that it achieves. Investors shouldn't rely on just one kind of promotion, but rather mix and match many methods.

**Goals And Objectives**

If a real estate investor does not first determine their own individual standards for success, they will never be successful. To put it another way, success cannot be accomplished if the end goals are not clearly delineated. In a similar vein, how can you possibly know when you've gained success if you've never even attempted to define what it is that constitutes success?

Because of this, it is essential to keep in mind that "success" is a concept that is open to interpretation. One investor may view a company as thriving, while another may not even see the possibility of making a profit from investing in the company. As a result, new investors should come up with their own personal definition of success so that they have something to work toward and even something to fall back on when things are going poorly.

**Competition**

It is just as important to keep an eye on what your competitors are doing as it is to have a solid understanding of your own business. Simply seeing how your competitors carry out their business can provide you with a wealth of insightful information. As a result of this, it is recommended that you dedicate a substantial section of your business strategy to the competition you intend to face in the house-flipping industry.

To be more specific, what actions are they taking at the

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present time that appear to be successful? Provide some insight as to why it appears like they are achieving nothing but failure. Do they currently have an advantage over the other companies in the market? If investors have a solid understanding of the landscape, they will have a better notion of what actions to take and what actions to avoid taking. You should take note of their accomplishments and improve upon them, but you shouldn't ignore their faults, since you may learn just as much from them.

**Exit Strategies**

A strategy is not even close to being finished if it does not include an outline of potential exit routes. Now is the time for investors to weigh all of their available alternatives as they plot their course.

You should begin by conducting a detailed assessment of the property to see whether it is a good fit for the investing goals that you have set for yourself or not. Every investment property has an optimal exit strategy, but that strategy needs to be compatible with what you have in mind for the future. This means that before you make a purchase, you need to determine whether you will "flip", "renovate", "wholesale", or "lease" the property. In addition to this, you should always be prepared with a backup plan in the event that your primary strategy does not work out as expected.

## The 70% Rule In House Flipping

The strategy for generating a profit as a home flipper is straightforward: acquire a property at a cheap price, spend money on modifications, and then sell the house at a higher price. Flippers always seek to maximize their profits by acquiring products at a lower cost so that they may resell them at a higher one.

When considering possible acquisitions, flippers may find that using the 70% rule is effective. The rule stipulates, in essence,

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that flippers shouldn't spend more than 70% of the property's projected worth after renovations on the property (which is derived by multiplying the After-Repair-Value of a property by 70% minus the cost of repairs).

After-repair value, often known as ARV, refers to the expected profit that might be realized by investors when they sell a property after having all of the required repairs done to it. Before making a purchase, real estate investors who want to earn a healthy return need to take into account the property's prospective resale value in order to choose the right investment. After that, they may multiply that number by 0.7 or 70% and then subtract the cost of repairs to arrive at a ballpark figure for the price at which they should purchase the property.

However, it is essential to bear in mind that the 70% rule is only a guideline and not a hard and fast law. Before purchasing a home, it is important to do research on the market, speak with real estate agents to get a better idea of the property's resale value, and speak with contractors to get an idea of how much work needs to be done and how much it will cost. Doing all of this research will help ensure that you make an informed decision.

**WHAT IS THE 70% RULE WHEN FLIPPING HOUSE?**

**The 70% rule states a house flipper should pay 70% of the ARV (after repaired value) minus any repairs when buying a house to flip**

**If the ARV is $150k and the house needs $20k in repairs, the buy price should be $85k (150k x .7 - 20k = 85k)**



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**How Does The 70% Rule Work?**
The 70% rule is based on a basic calculation, which is as follows:

After-Repair-Value (ARV) x 0.7 or 70% - Estimated cost of repair = Highest purchase price

With that maximum purchase price in mind, you can decide how much money you can afford to spend on a property that you want to flip in order to make a profit. Any rise in price over that threshold might potentially result in a decrease in your profits.

**What If The Offers Made Using The 70% Rule Gets Rejected?**
Having said that, the 70% rule is not relevant in every single industry. Even if your offer complies with the 70% rule, the owner of the property you're interested in purchasing may decide to reject it in a market that favors sellers, characterized by rising prices and a high rate of home sales.

As a result, given the competitive nature of the market, you may need to revise your projections and submit a bid that is as high as 85% of the home's after-repair value, minus the cost that will be spent on renovating. Whatever it is that you have in mind to accomplish, the amount of competition in the market is a factor that will determine the outcome. When you seek to sell your home, there is a greater chance that you won't be able to get a price that is satisfactory to you. On the other hand, if the market conditions are good for sellers, you could be able to sell the house quickly and for a price that is much higher.

Because of this, the 70% rule, however beneficial it may be, is not a sufficient substitute for doing extensive market research. A market is considered to be favorable for buyers when properties are not moving off the market quickly and

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when prices are not increasing. In spite of the fact that the 70% rule recommends making a higher offer, you could make the decision to provide a lower one given the circumstances.

## Common house-flipping mistakes

It is necessary for investors who want to increase their chances of making a profit from house flipping to have a certain set of skills.

However, the majority of investors do not place the same amount of importance on avoiding failure as they do on attaining success in their investments. Learning the most effective strategies may be useful, but it can also be beneficial to be aware of potential hazards. As a result of this, the following are some of the most common yet possibly catastrophic problems that may be encountered while flipping houses:

### Inadequate Funds

Any miscalculation in estimating how much money would be necessary might have disastrous consequences in the long run. In the event that finance runs out in the middle of a project, it may result in major delays or prevent the deal from being closed at all. Those who do not have sufficient funds may be tempted to cut corners during renovations, which would result in poorer quality standards and, ultimately, a reduction in revenues. Never go into a deal without having adequate cash on hand; rather, put some money away in case of an emergency beforehand.

### Poor Time Management

When it comes to the value of resources, time trumps money every time for businesspersons. Therefore, the ability to effectively manage one's time is very necessary for contemporary investors. It is quite valuable to be able to enter and leave a transaction quickly. If they are able to efficiently manage their time, then the holding costs will be

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decreased, and they will be able to move on to the next project even sooner. If this step is skipped, investors run the danger of losing a significant amount of money and even the deal itself.

Investors should not rush into a purchase without first creating a timeline. In addition to this, they need to do all in their power to keep the momentum going and eliminate unwanted hiccups.

**Inexperience**

When it comes to investing, one of the most common mistakes made by investors is getting in over their heads. For example, being indecisive and panicking when faced with a stressful situation might be the consequence of a lack of prior experience. As a result of this, investors should stick to what they are familiar with.

Instead of putting yourself in danger by doing something that is outside of your field of expertise, it is best to stick to what you are already familiar with. Learn as much as you can about anything before diving in headfirst if broadening your horizons is one of your goals.

**Lack Of Education**

The failure to educate oneself before making an investment might have catastrophic results. Ignorance is all that is required to put an end to a transaction that you have been working on. Because of this, it is essential for investors to acquire all of the relevant information before making any commitments.

Take initiative and make sure you're well-informed about all aspects of any prospective deals you could make. You may educate yourself by reading books, listening to podcasts, attending seminars, and having conversations with everyone you can. The degree of education that an investor has may

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have a significant impact on the career route that they take.

**Impatience**
Patience is a trait that is essential for investors to have. In a world where time is money, maintaining emotional and mental stability is very important. If they are patient, investors may be able to save themselves from making serious errors. Even if there are no other factors involved, irrational action can have disastrous outcomes.

# REMOTE INVESTING

The tools necessary for online real estate transactions over the last decade have now become available to the average investor. Real estate investors can now find deals, appraise properties, make acquisitions, and do much more without having to physically relocate to the site of the property they are purchasing, thanks to improvements in technology. This allows investors to save time and money.

**What is Remote Real Estate Investing?**
The term "remote/virtual/online real estate investment" does not relate to the purchase of digital land or property; rather, it refers to the process of purchasing real estate in any region of the world by relying only on internet resources.

Because of the nature of investing in real estate remotely, investors are able to purchase and sell properties without being physically present at the transaction. Investors no longer need to rely on the conventional approach of doing business, since it is now possible for them to hold assets without any physical constraints and generate passive income from those assets while still enjoying the same long-term rewards. This paves the way for a plethora of new opportunities for investors.

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Obviously, you still need to do your research and devise trustworthy protocols in order to keep track of and look after your assets. On the other hand, the advent of the internet has made it possible to do such activities at a distance, which enables you to swiftly expand your company all over the world.

**The rise of remote real estate investing**
**Why Remote Real Estate Investing Is Growing**
There has been an increase of more than 8% in the number of investors who come from other states or countries to participate in the real estate market over the past five years. The rise in online investment in real estate may be attributed to a number of factors, including record housing prices, increasing property taxes, and the introduction of anti-landlord regulations, such as rent control measures, in many different regions.

Several factors may be contributing to the growth of online real estate investment.

- Investors who are willing to go elsewhere, especially those who live in pricey locations on either the East Coast or the West Coast, may be able to make higher profits;
- It is difficult for new investors to get into many markets without already possessing a sizable financial cushion due to the high cost of real estate in those regions;
- Investing in real estate online is similar to maintaining a stock portfolio in that it simplifies the process of spreading risk and increasing rewards across several properties.

In addition, there is a multitude of tools that can be accessed online, which may make investing remotely much easier. Some examples of these tools include:

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- Listing websites for real estate that are designed for buyers and sellers who are located remotely;
- Videos captured by a drone, three-dimensional images, virtual reality, and augmented reality are all contributing towards more detailed online real estate investing;
- Online verification, signing, and notarization services that use digital signature technology.

**Is Remote Real Estate Right for You?**
The notion of buying real estate, especially in a remote location, may seem overwhelming to someone who has never engaged in the practice of investing in the past. When faced with such a wide variety of informational resources, various kinds of data, and potential investments, some people who are interested in investing never end up doing so because they get "analysis paralysis".

Real estate investing is a long game, so it is important to familiarize yourself with the resources and tools available to you, keep up with trends in the industry, and realize that it will take time for your investments to pay off. This will allow you to make wise investments that will lead to long-term prosperity.

**How To Start Remote Real Estate Investing?**
Investing in remote real estate requires time, work, and strategy just like investing in any other form of asset. On the other hand, as technology has advanced, it is now possible to do a significant portion of what was previously impossible with just a laptop and a smartphone. You need to be aware of the first steps to take in order to get the most out of this tactic.

Investing in real estate remotely may help you escape many

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of the headaches involved with purchasing a property in your local neighborhood; nevertheless, this does not mean that investing in real estate through the internet is without its own unique set of obstacles. You won't be living in the area, so you won't be able to go take a look at the home in person, and you'll not know enough about the neighborhood the way you would if the area were your own town, city, or state.

Before investing money in properties that are located in distant areas, it is vital to do extensive market research beforehand. The level of risk involved is comparable to that of other types of investments. However, there are a few unique challenges to take into consideration.

After you have completed all of your research and decided on a certain market in which to invest, it is time to put your plan into action. However, before you can get started, you need to be sure that you have all of the necessary tools.

## Online Platforms You Can Use

If you are looking for a property to use for investment purposes, the internet is home to a large number of websites that may be of assistance to you. The following is a list of many that have shown considerable potential as online tools for investing in real estate.

### FlipScout

FlipScout is an online platform that utilizes big data and AI to assist users in making informed financial decisions. You can use it for both renting out properties and flipping them, with the option to search for homes and monitor vital indicators such as the amount of money spent on renovations and the income from renting them out. It is free to use and gives users access to listings from all around the United States.

### RoofStock

RoofStock is an online marketplace for buying and selling

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residential rental properties in the United States. The listings are evaluated by the qualified personnel of the organization, and the results contain essential statistics such as the market rent, the gross yield, and the net cash flow. Users who have sufficient capital at their disposal may also acquire whole portfolios using the site.

**Fundrise**

Fundrise is a marketplace for electronic real estate investment trusts (e-REITs), which virtual investors may buy for as little as $500 each. Those who are new to the world of real estate investing and who are not yet ready to purchase their own home may want to consider this alternative. This kind of company sells shares to investors in the same manner that public businesses sell stock to the general public.

It is not necessary for the buyer to take on the responsibilities of property administration or ownership in order to participate in this form of investing in real estate through crowdfunding and crowdsourcing, but investors will still be able to expect consistent returns on their investments.

Fundrise is the first online platform to offer electronic real estate investment trusts. These e-REITs give individuals the opportunity to take part in a diversified portfolio of properties located across the United States, which was previously only open to authorized investors.

## Best Remote Real Estate Investing Apps

By downloading one of the numerous helpful real estate investment apps that are now on the market, the process of investing may potentially be made a great deal simpler.

**Matterport**

The Matterport platform is a software application that allows users to create three-dimensional representations of residential and commercial properties. This is a great tool to

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utilize when you want to show out-of-town buyers or renters what a refurbished property will look like when it has been completed.

**Dealcheck**
Dealcheck will prove to be a useful tool for real estate investors that engage in activities such as house flipping, property acquisition, and maintenance.

It might assist you in identifying houses that are well suited for renovation, in addition to providing a database of homes that are perfect for investing in rental property. In addition to this, Dealcheck offers you similar properties that may be used for comparisons to get an estimate of the value of the investment property once any necessary repairs have been made.

**Airbnb**
Airbnb is the app you should use if you are interested in making a financial investment in virtual real estate and would want to buy a home in a location that sees a lot of visitors from out of town. With the assistance of this app, landlords have convenient access to a large number of potential tenants who are looking for short-term rentals. By utilizing the application, you may be able to completely avoid wasting time and effort on the tenant finding and screening process.

## Advantages of Remote Real Estate Investing

Even though it is becoming more common to remotely invest in real estate, not every potential real estate investor should contemplate purchasing a rental property in another state. You should give some thought to the following, since they are some of the most significant benefits associated with investing remotely:

**Opens investors to opportunities across the country**
In the past, investors were restricted to merely considering investment opportunities in their surrounding area. When you

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invest in real estate remotely, you are essentially paving the way for yourself to take advantage of chances in marketplaces all over the world, where you may uncover better deals that are in line with your strategy.

**Save time and energy traveling back and forth to a property**

The prudent investor of today may do due diligence on a project without ever stepping foot on the site, but this may or may not offer them peace of mind. All that is necessary is the availability of a dependable workforce to carry out normal activities, as well as an efficient mechanism to assess the agreement. This helps you avoid wasting resources that may be used elsewhere.

**Invest in multiple properties at once**

Because you do not need to spend time driving to a physical location, you are able to engage in many projects all at the same time. Make it a goal not to accept more than you are able to manage. Those who already have some level of expertise in the sector may make the process of creating a portfolio of real estate holdings around the country more manageable by investing in remote real estate.

## Disadvantages of Remote Real Estate Investing

Below are some major drawbacks of investing remotely that you should consider.

**You can't always respond to problems yourself**

A significant disadvantage of investing in real estate online is that, in the case of a disaster, you will need to rely on the assistance of people in the immediate area. In the event of a leaky roof in the middle of the night, it is not possible for you to just drive down there and check on it yourself; thus, you will need the contact information of a reliable professional. If you already have a well-established network in the area, this may not be a dealbreaker for you, but it is something to consider before you make a purchase in the area.

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**You have to do more research**
Even while you may be able to save time and effort by not actually going to the property, you must still make use of that time to learn as much as you can about the place. You need to devote some of your time to researching the market and ensuring that it is comparable to the one you already have experience with before you can be certain that you are going to be successful with the investment you make.

**You're at the mercy of other real estate professionals**
When you remotely invest in real estate, you are essentially putting your financial future in the hands of the contractors, real estate agents, inspectors, and other professionals in the industry who you pick to assist you. You should be prepared to spend a little bit more money, since it is quite unlikely that you will be able to finish any of these tasks on your own.

If you've put up a strong team, you shouldn't have to worry about anything like this happening. But if a member of the team suddenly stops contributing to the project or attempts to take money from you, it might be catastrophic for the endeavor.

# REAL ESTATE LISTING MARKETPLACE BUSINESS

A real estate listing website's principal function is to facilitate interactions between buyers and sellers. It makes communication easier, which in turn saves both time and effort for everyone concerned. The information about available properties is published on a website that is available to anybody who may be interested in buying or renting them.

## Critical features of Real estate listing marketplace business

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**Go beyond just high-quality images**

High-quality images are a must-have element for every real estate website. When deciding whether to make an offer on a house or not, customers heavily depend on the visuals that are provided to them. When going through a listing that was sent in by a broker or a private party, the owner of the website has to proceed with the utmost attention when it comes to the usage of photos.

A potential buyer in today's market is considerably more discerning, and high-resolution pictures won't satisfy their requirements. There are currently a lot of real estate listing websites that provide virtual tours and 3D visualizations of the residences that are offered. When it comes to increasing website traffic without a corresponding slowdown in page load times, it is essential for website owners to intelligently optimize photographs.

**Highlight the USP of every property**

It is essential that you set the stage if you want to draw customers to your properties. You should include as much information as you can on the flooring, electrical accessories, equipment, and so on. It is possible that a photograph of the property will not be able to capture all of the neighborhood and geographical aspects; thus, it is vital to explain them in depth. Before making a final choice, a buyer has to have all of the pertinent information on the neighborhood around the property.

**Testimonials**

There is nothing more powerful than a review or testimonial was written by a satisfied customer to win the confidence of potential customers in your business. The majority of websites that deal with real estate have a testimonial in a prominent place on the home pages of their websites. It has been shown that videos uploaded by users and displayed on the homepage of a website are more successful than written

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testimonials in generating new business.

**Property value calculation**
Even if the broker is well-versed in the current market circumstances and property pricing, the individual selling the property on such a site would still benefit from having some concept of how much their house is worth in the current market.

**Home loans**
The person who owns the website has to be conscious of the fact that not everyone is in the financial position to buy the house of their dreams. The client would have an easier time acquiring a home loan if the listing website has established agreements with several financial institutions.

**Talk to an expert**
When it comes to selecting the perfect home to buy or selling the one you already own, there is a significant amount of planning that needs to be done. Issues concerning taxes, legal documents, property problems, etc., need to be addressed.

If the seller or the buyer has any queries about the transaction, the real estate listing agent should send a consultant to address such issues. If this confusion can be resolved, an increased number of people will utilize your website to post listings and conduct property searches.

### Process for Buyers

1. Choose the area (city, region, or country) where you would want to either rent or buy a house;
2. From among the wide variety of houses that are now available, choose the one that fits most closely to your specific requirements;

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3. In the event that you have not previously done so, register by providing your email address and phone number;
4. When your information has been successfully submitted, a message will be sent to the vendor for more discussions;
5. If that doesn't happen, the seller's phone number may be provided, so you can always contact them;
6. Get in touch with the seller and schedule a meeting.

**Process for Sellers**

1. Create an account on the website;
2. Publish the information about the property, including its address and location, online;
3. Provide as much information as you can about the property, such as its total square footage, the number of bedrooms, and the number of stories/floors;
4. Simply add your contact information, and the online listing for your property will be created.

**Popular real estate listing websites**

- MLS
- Zillow
- Magic bricks
- Housing
- Home Finder
- Realtor

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- Trulia

## Revenue model

### Subscription fees

The business plan of the property listing website places the brokers in the role of the intermediary. In most cases, the broker who wants to market their property on the portal is required to pay a membership fee to the website in order to do so.

As an extra benefit, the proprietor of the website has the advantage of having access to a comprehensive list of available houses as a result of this model, which allows the broker to list an extensive number of properties within a predetermined package.

### Featured Listing

Offering real estate agents and individuals the opportunity to buy featured listings is another simple method for increasing revenue. If a seller wishes to sell their property fast, they can advertise it in a prominent location on the main page of the website. This kind of business model is appealing to real estate brokers as well as individual sellers since it raises the level of exposure that their listings get, which in turn boosts the number of sales.

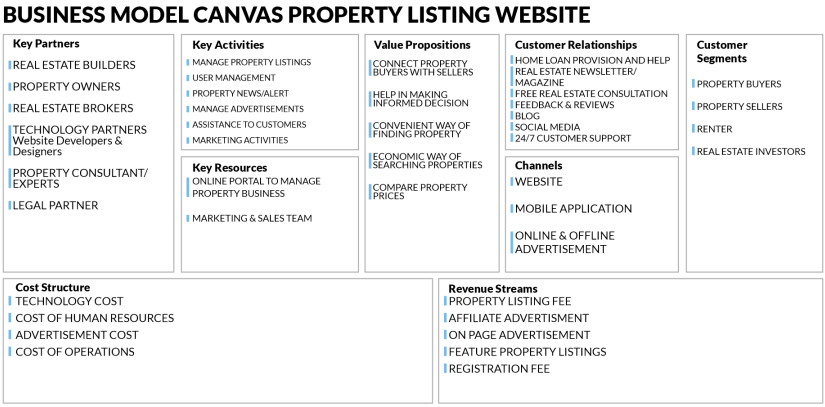
## Secondary revenue stream

1. Assisting you in the personal search for and management of prospective buyers for your house;
2. Consult with a knowledgeable real estate agent about how much the house is worth in today's market;
3. Offer professional advice on any and all real estate-related questions and issues.
4. Refer or help you talk to a lawyer for assistance with

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any property-related issues, including buying, selling, leasing, renting, paying taxes, and settling disputes.

## Business Model Canvas of Real estate listing marketplace business

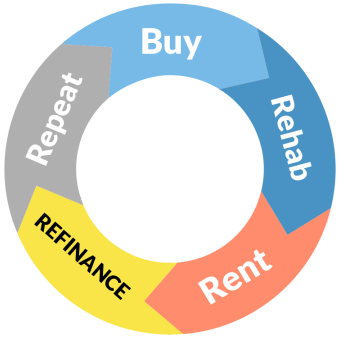



# BRRRR

The abbreviation BRRRRR stands for "Buy, Rehab, Rent, Refinance, Repeat". The emphasis of this approach is on distressed assets and off-market properties, such as foreclosed homes and auctioned residences. The strategy entails purchasing undervalued real estate, converting it into rental units, and then quickly refinancing the profits in order to fund more acquisitions.

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**THE BRRRR METHOD**




## What is the BRRRR method?

The BRRRR Method offers some recommendations that can be followed by investors who intend to build up a passive income in their investment career. Each letter in this acronym represents a vital action that has to be carried out in the order that has been outlined.

The BRRRR method begins with the purchase of a property. The owner is able to more easily cover expenditures, turn a profit, and gradually build equity thanks to the rental revenue from the revitalized property. After the investor has amassed a significant amount of equity in their first property, they are in a position to acquire a second property by refinancing their existing mortgage on the first property.

### Buy

The first phase in the five-step process is referred to as "buy", which is represented by the letter B in the acronym. While you are looking through the postings, keep in mind that you are now at the most important stage, which will determine whether your investment is successful or not. It may be difficult to navigate the waters between a property's potential as an investment and its potential as a rental, but doing so is very necessary.

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In order to accomplish this, you will need to conduct a comprehensive analysis of the deal. This will require you to determine, among other things, the amount of money that will be required for repairs, the amount of money that will be required for rent each month, and whether the profit margin from rent would be sufficient to cover the costs of the renovations or not.

The buyer of a rental property has to perform their research on the local rental market and put aside enough money at the time of purchase to cover the cost of any required repairs in order for the property to be considered a solid investment.

Many investors utilize the rule of 70% as a guideline for making decisions in this regard. After house improvements have been performed, following this rule will assist them in securing a healthy profit margin for their work.

**Rehab**

To "rehab" a home is, first and foremost, to make any required repairs to bring it up to the current building standards so that it can be inhabited once again. The next thing you need to do is figure out which improvements will really boost the value of the home. Renovating the kitchen and bathroom, working on the landscape, and installing energy-efficient windows, appliances, and other amenities are some examples of these value-boosting improvements.

Before getting started on the project, it is essential to make detailed plans on the financing, as well as the timetable.

**Rent**

After the upkeep and repairs to the property have been completed, the investor may decide to rent out the space in the property. The review of tenant applications, the management of turnover, and the resolution of any issues

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that may arise are all possible tasks within this step. A savvy investor will recognize, once some time has gone, whether the efforts they put into doing their due diligence were beneficial or not.

Problems may arise for landlords in the form of vacancies, unsuitable tenants, or maintenance expenditures that are more than the rent collected from tenants. If even one of these things takes place, there is a far greater chance of the homeowner losing their home to foreclosure. This is not meant to dissuade new investors from purchasing rental property or from employing the BRRRR strategy; rather, it is meant to emphasize the necessity to perform comprehensive research prior to making any investment.

**Refinance**

The fourth stage of the BRRRR approach involves pulling equity from one investment property by means of a cash-out refinancing, and then investing that money in a second property that is in need of renovation with the intention of flipping it and renting it out. To do this, you must first find a financial institution that is prepared to provide you with a cash-out refinancing loan, and then you must satisfy the eligibility conditions for the loan.

The majority of lenders will want a credit score of 620 or better, a maximum debt-to-income ratio of 50% or less, and equity in the house, although this varies per institution. The amount of time you've spent as a homeowner might also have an effect on your capacity to refinance your mortgage.

A variety of fees and expenses, such as an appraisal and any relevant closing charges, may need to be paid in order to finalize the loan transaction.

**Repeat**

The investor may then decide to purchase a second rental property and make necessary improvements using the funds

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obtained from the cash-out refinancing of the initial rental property. Refinancing your mortgage in order to withdraw cash may provide you with a number of advantages, including lower interest rates than you would get with other kinds of loans, potential tax deductions, and more financial flexibility.

Because there is a significant learning curve involved, it is pretty much guaranteed that a new investor will make some mistakes and have some difficulty during their first BRRRR cycle. On the other hand, they will be able to use what they have learned to their advantage when purchasing their subsequent homes.

**BRRRR Method Example**

Let's have a look at an illustration to better understand how to put the BRRRR property investment strategy into action in your business. By going through the case study that is provided below, you will have an in-depth understanding of the buy-rehab-rent-refinance-repeat cycle.

Imagine for a moment that Johnny Crushit, a local of Austin, Texas, is interested in purchasing a property so that he may capitalize on the flourishing rental market in his hometown.

After looking around for a while, he finds a piece of real estate that is going for $220,000, and he immediately starts doing the math. Johnny can only afford a down payment of $65,000, so he takes out a loan to cover the remaining $155,000 of the purchase price. Johnny makes the decision to put $15,000 into the home's remodel after seeing the property with a contractor.

The following are the numbers that we have gathered up to this point:

- Sale Price: $220,000

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- Down Payment: $65,000
- Loan Amount: $155,000
- Rehab Costs: $15,000

When Johnny is through making renovations to the property, the market value of the home will increase to $290,000, and Johnny will be able to rent it out for $3,000 per month. One year later, Johnny makes the decision to refinance and borrows a total of $217,500, which is equivalent to 75% of the property's current market value.

With this money, he pays off the mortgage of $155,000, and after that, in addition to the revenue from the rental property, he has $65,500 left over to put toward the purchase of another house and the remodeling of that one. If Johnny keeps up his current pace, he will ultimately build up a sizable portfolio of investment properties.

Although the statistics have been simplified somewhat for the purpose of this illustration, they should still be sufficient to explain the BRRRR method appropriately.

**How The BRRRR Method Works**

The first thing to do is to look for a house that has a cheap asking price but needs some work. The ideal house would be one in which some repairs are required, but which does not require extensive renovation. For your first investment in real estate, you should prepare to use hard money received from a lender that offers short-term loans. It is imperative that there be sufficient funds available in order to purchase the property and make any essential modifications.

After you have completed the necessary renovations, you can then start searching for a tenant to rent the space so that you can ensure a consistent source of revenue for yourself. You will be ready to go on to the next step of the BRRRR

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Method, which is refinancing, after the value of the home has increased as a result of the repairs you have carried out and after a reliable tenant has come in.

While you are still receiving rent from your tenants, you may pay off the first lender with the money you obtain from refinancing. This allows you to keep your cash flow stable while paying off the original lender. At this point, you are free to invest the money that you've accumulated in more real estate if you want.

Keep in mind that the bank will only fund a fraction of the property's fair market value when you refinance it, so plan accordingly. Your home, which might be worth $110,000, might be refinanced for $160,000, with a loan amount of $128,000 (representing 80% of said value). You may then repay the short-term loan and use the remaining $18,000 to cover the closing charges.

The BRRRR Strategy is not intended to result in a quick wealth increase. Instead, you are planning to use the strategy in the hopes of accumulating a significant amount of passive income. However, a contingency plan would be to be able to sell the property when the refinancing is complete while still maintaining a profit.

**Who is the BRRRR method best for?**

There is no investment that does not carry some degree of risk. The BRRRR approach is ideal for those who have comprehensive knowledge of real estate and who have a decent grasp on estimating many aspects, including the market worth of a property, the costs of upgrading it, and other factors. Significant amounts of money might be wasted as a result of a single error, such as making an inaccurate estimate of the expenditures involved or passing up the chance to sign a lease at the best possible time and rate.

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Investing in BRRRR assets necessitates a significant time investment on your part. Finding rental homes, renovating them, and managing them all need a significant amount of work.

**What Kind Of Properties Are Best For The BRRRR Method?**
This strategy is effective when used on houses that are either priced too low or are in need of considerable repair. The investor, however, is required to make improvements to the property in order to increase the value of the investment.

As a result of the fact that turnkey houses often have the highest asking prices, this strategy is not ideal for the acquisition of such properties.

That doesn't mean you shouldn't put your money into a turnkey home, however. This suggests that the value of a turnkey property cannot be significantly improved once repairs have been performed, which prevents investors from recovering the money they initially invested in the property.

**How To Do The BRRRR Method**
Here is a practical example that ought to make the procedure more understandable. As a result of this, each of the figures needs context. There are a number of different approaches that may be used to carry out each stage, but the general strategy will not change.

The property's specifications are as follows:

- Listing Price: $100,000
- Square Footage: 1,400 sq. ft.
- Type: House for a single family, consisting of two bedrooms and a single bathroom

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**First Step: Buy Rehab Property**

Although investing in cash is usually preferable, there are other options available to you if you do not have enough funds to make a full cash offer. You may put this strategy into action by using the funds provided by other people if you took out a short-term loan. Even if utilizing a bank to finance a purchase comes with its fair share of perks, there are a few additional advantages to be gained by making full cash payments upfront.

There are several criteria that need to be satisfied before financial institutions would even consider providing funding for a deal. For instance, the assessed value of the property must be more than or equal to the purchase price in order to satisfy the requirements of certain financial institutions. When a buyer pays cash for a property, there are no time limits placed on the closing. In addition to this, cash offers that were placed have been accepted for less than the market price!

In this example, the owner of the property has set the asking price for the property at $100,000. Therefore, we will put down 20% to pay the mortgage, along with $1000 to cover the closing fees; the remaining 80% will be financed by the bank.

- Loan Amount: $80,000
- Investment total: $20,000 + $1,000

At this point, our lender will set up a loan for a period of six months that will only include the payment of the interest. Before the whole loan payment was due, we had a grace period of six months during which we could make any required repairs to the property. The only thing we are obligated to pay on this loan is its interest payment.

A 5.25% interest rate interest-only loan will be considered in

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this illustration.

- Interest Rate: 5.25%
- Monthly interest for 6 months: Loan Balance x Interest Rate / 6 months = $80,000 x .0525 / 6-months = $700/month

**Second Step: Rehab Property**
In this step of the process, improvements to the property are done in order to raise its resale price. On the other hand, going over budget and missing the timeline is quite simple to do. You should schedule a site inspection with a trustworthy contractor who is able to offer an accurate cost estimate for the required modifications.

Because you are also making improvements to the property, you won't have to worry as much about spending money on expensive repairs during the first few years. Include a contingency fund in the budget for the renovation in case you wind up spending more than you anticipated.

Remember to factor in the amount of time that will be required for the job. You will need to take into account, in addition to the cost of the project itself, the cost of financing as well as the interest that you will be required to pay on a monthly basis for the loan.

Here, we'll show you how to legally transform an extra space into a bedroom. Thus, the home expands from its original configuration of two bedrooms and one bathroom to accommodate three.

In order to convert this extra space into a bedroom, it will take one month and an investment of $8,000 in renovations:

- Rehab Cost: $8,000

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- Interest Payment: $700
- Total Rehab Cost: $8,700

**Third Step: Rent Property**
An investor has to first publicize their restored house before they can expect to get tenants. For the sake of this example, the typical monthly rent in this area is $1,400, and the apartment in question has three bedrooms and one bathroom.

- Monthly Rental Income: $1,400

**Fourth Step: Refinance Property**
Before approaching some financial institutions about a mortgage refinancing, it is possible that you will be required to wait a few months following the purchase of the property. The term "seasoning" refers to this period of time spent waiting. The values of real estate in the neighborhood might go up or down during the course of that time.

The first thing that has to be done is to convert the current debt into a term loan via a cash-out refinancing. After that, you will have the option of using the money to pay off the original interest-only loan as well as any other overdue expenses.

**Appraisal**
The bank will first hire an independent appraiser to establish the property's worth in accordance with current market conditions. An appraiser will conduct research on recently sold properties in the same area in order to arrive at a value estimate.

Depending on how the market is currently doing, the estimate might be too high or too low. Because of this, when trying to get an estimated value for a piece of real estate based on previously sold homes, the lowest purchase price at

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which a home sold should be used as the basis for your calculation.

If you choose this, you could save yourself the emotional upheaval and self-doubt that comes along with a poor appraisal. In this particular scenario, the appraiser places the value estimate at $160,000. The value of the property grew by $60,000 as a result of modifications, which cost a total of $8,700.

- Appraisal Valuation: $160,000

**New Term Loan**

The bank will initiate a new long-term loan at a rate that is based on a percentage of the property's estimated worth. This ratio is sometimes referred to as the "loan-to-value" ratio (LTV). LTVs often fall somewhere in the range of 75% to 80%. Back in 2008, it was common practice for banks to provide LTVs of 125%.

In this scenario, the bank has approved an LTV of 75%. Therefore, the bank will provide a loan in the sum of $120,000 to the investor. The interest rate on the loan will be set at 5.25%, and the repayment duration will be thirty years.

**Term Loan Details:**

- Term Loan Balance: $120,000 (75% of $160,000)
- Refinance Closing Costs: $2,000
- Term Length: 30 years
- Term Interest Rate: 5.25%
- Monthly Mortgage Payment: $663
- Monthly Insurance & Taxes: $200

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Let’s review all the numbers:

- Interest-Only Loan: $80,000
- Total Initially Invested: $21,000
- Total Rehab Cost: $8,700
- Refinance Closing Costs: $2,000
- Term Loan Balance: $120,000

The proceeds from the term loan will be used to pay off any and all other outstanding debts first. This includes the interest-only loan for $80,000 and the closing costs associated with the refinancing. These costs may include the bank loan fees, the origination costs for the new loan, the cost of a title search, and so on. In this scenario, the borrower would be left with $38,000 after the closing fees of $2,000 are deducted.

From that, the initial investment of $21,000 will be recovered, and there will be a balance of $17,000 remaining. The last stage is to utilize the money to pay the $8,700 in rehabilitation fees, which will free up $8,300. The interest-only loan is paid off, and we still have money left over after we have recouped our initial investment and repaired the home.

**There are a few things to consider in this scenario:**

- Have a lower LTV?
- Reduce the term length?
- Put the extra $10,000 towards another investment property?

A loan-to-value ratio (LTV) that is lower than 80% should be your goal if you want to keep more of the equity you've

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worked so hard to achieve and bring down the amount you pay on your mortgage each month.

Because of the decrease in the monthly mortgage payment, there will be more money available for other uses. One possibility that might be taken into consideration is a loan with a period of fifteen years. The payment for a mortgage on a term loan amounts to $965 per month with the same interest rate.

If we assume that the monthly mortgage payment is $1,400, then the rental income from our hypothetical property of $1,400 would be adequate to cover the cost of the mortgage. If you are able to shorten the duration of your mortgage, you may be able to negotiate a lower interest rate as well as a lower payment each month. The remaining $8,300 may be used toward the acquisition of yet another property to be utilized for investment purposes.

**Step Five: Repeat**

When using the BRRRR method, "Repeat" is the fifth and last stage in the process. Our example demonstrates that it is feasible to recoup the whole amount of money that was invested, which in this instance is $29.700.

In addition to any other monies that may be available, the $8.300 that is made available via the cash-out refinance is now available. This cash, which comes to a total of $38,000, might be used toward the acquisition of other real estate assets. In this way, the BRRRR strategy may be utilized to grow a property portfolio.

## BRRRR Method Pros & Cons

The BRRRR method, much like any other strategy for investment, has both its advantages and its disadvantages.

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**BRRRR Strategy Pros**

The BRRRR strategy has the potential for both rewards and pitfalls, just like any other investment strategy. Before you make a commitment to using the BRRRR method, you should carefully consider its advantages and determine for yourself whether it is something you are interested in or not.

**Potential for returns**

One of the most important benefits is the opportunity to earn a healthy return on one's investment. If executed properly, purchasing a distressed home needs very little in the way of initial cash, and after it has been rehabilitated and leased out, it may give the investor a considerable income.

**Building equity**

The amount of equity that can be generated during the renovation process is another factor that has to be taken into account. Many investors who follow a passive income strategy do so by creating cash flow from an asset that has a value that is at least equivalent to the acquisition price.

**Top-grade tenants**

It is far more probable that a building will be rented out to fantastic residents if it has been refurbished to the point where the customers of the local market are pleased with the results. Tenants who pay a higher rent for an apartment because of its desirability are more likely to take better care of the rental unit, which results in cost savings for the landlord. An increase in income is almost always a direct outcome of having better tenants in a rental property.

**Economies of scale**

Assuming you have found your footing in BRRRR, a big portfolio of rental properties may help you save money by lowering your expense per property and dispersing your risk over a wider range of investments. The term "economies of scale" describes this scenario.

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**BRRRR Strategy Cons**

The following sheds some light on the potential dangers that will need to be addressed in order to put the BRRRR strategy into action successfully. This does not imply that these factors have a fundamentally bad or unsatisfactory nature. Instead, they should be seen as a lesson in prudence for anyone who would invest without first doing their research:

**Expensive loans**

During the time when the property is being renovated, investors run the potential danger of being over-leveraged if they opted for a short-term or hard money loan. Inexperienced investors sometimes fail to take into consideration expenses like maintenance and upkeep, vacancy rate, and other unexpected but necessary expenditures.

In light of this fact, it is of the utmost importance for investors to have a plan in place for making their mortgage commitments and dealing with other property bills, even in the event that the investment property is not generating any revenue.

**Rehabilitation**

If you want to tackle a large-scale renovation project, you should be ready to invest a lot of money and deal with a lot of headaches. Managing schedules, contractors, and subcontractors are essential throughout a renovation project, not to mention the fact that there are certain to be unexpected surprises at some point. Make sure that you have sufficient time, resources, and backup plans before commencing a project.

**Waiting period**

Because it involves not one but two breaks in activities, the BRRRR strategy calls for a more extended period of time to

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be allotted. The first break scenario occurs when an investor makes improvements to a building in order to get it ready for rental. Seasoning is the second break, and an investor must go through it before a lender would accept a cash-out refinance for them.

**Appraisal Risk**

When considering refinancing, investors often focus on the value of the property rather than the total amount that has previously been invested in the structure. It's possible that the property's assessed worth won't live up to your expectations. This should serve as a cautionary tale to remind investors of the need of doing preliminary estimations that are accurate and thorough.

## How To Finance BRRRR Properties

For inexperienced real estate investors, securing financing for BRRRR properties might be a substantial hurdle. It is not unusual to have to get financing for a piece of real estate more than once for various reasons. The initial investment is made at the time of purchase, and subsequent expenses include those related to maintenance and improvements.

Since most first-time investors do not have the necessary funds at hand, they will need to get a loan in order to buy their first investment property. If this is your first time purchasing real estate, you have many different financing options available to you, including the following:

**Conventional Bank Loans**

As a rule, you should put away anywhere between 20% and 25% of the total buying price for the down payment. The interest rates on these loans need to be equivalent to the rates for loans secured for primary residences. Take into consideration the possibility that the bank will not approve your loan application to purchase the property if the state of the property is too bad.

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**Local Bank Loans**

When it comes to providing loans for investment properties, local banks are far more flexible than major banks. They could want the same amount of money for a down payment that a conventional bank would, but they might not take into consideration upkeep expenses. They also provide you some wiggle room when it comes to things like the limit on your mortgage and the ratio of your debt to income.

**Private Lenders**

You have the option of soliciting private funding from persons who are part of your personal or professional network. These individuals might include close relatives, intimate friends, business associates, or other investors. The rates that are offered here are subject to fluctuation depending on the property as well as your standing with the creditor. Additional finance is often provided by private lenders for the purpose of carrying out essential house renovations.

**Hard Money Lenders**

These lenders make the majority of their money by providing mortgages to landlords and real estate investors who flip properties. The fees and interest rates associated with hard money loans are often greater than those associated with standard bank loans. However, it is quite likely that they will foot the bill for any necessary maintenance or improvements.

## Refinancing your BRRRR

If you have finished the remodeling and found tenants, you are now eligible to submit an application for refinancing. You should consider making preparations for your mortgage refinancing before you buy the first home. If you put off developing a strategy for too long, you can find yourself in a chaotic situation later on. You have the option of selecting one of these two main types of refinancing:

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**Conventional financing**
The majority of people who invest in BRRRR use this option, making it the most common option. When adopting this strategy, you will need to work with a traditional lending institution in order to get a mortgage. When it comes to these kinds of finance, loan-to-value ratios can be as high as 75%.

These kinds of loans often do not incur any origination fees, they offer the market's most competitive interest rates, and do not impose any prepayment penalties. Before making an offer, it is essential to get acquainted with the underwriting requirements of conventional lenders, since they may be more strict than those of alternative lenders.

**Commercial Financing**
Commercial finance is often seen as a promising opportunity by investors. By having the home underwritten as an investment property, you increase your chances of being approved for a loan that is up to 80% of the value of the property (LTV). These loans offer an alternative to standard forms of financing; however, they often come with higher interest rates, prepayment penalties, and even a personal guarantee in certain cases.

You need to look for commercial lenders that specialize not just in commercial loans, but also in financing for business renovations. This is a move that will save you money and time.

## Alternatives To The BRRRR Method

If you decide that the BRRRR Method is not the greatest way to invest in real estate for you, there are alternative strategies for real estate investment that you may try. The traditional method of investing is first purchasing a property (either with a mortgage or with cash) and then renting it out in order to generate income that can pay the expenditures of the investment.

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The rent that you get from the investment property might be used to meet your monthly mortgage payment, while any surplus money could be used for anything else or used to pay down the principal balance of your mortgage.

Another innovative strategy that should be taken into consideration is investing in real estate via crowdfunding. This more contemporary method involves pooling the financial resources of several investors in order to make property purchases. Because of this, it is now possible for people to invest with a decreased time commitment and effort while still earning favorable returns on their investments.

## HYBRID AGENT/INVESTOR

Because the housing market is in a state of flux, and the economy is experiencing a downturn, it may be necessary for both the seller and the real estate agent to put in a significant amount of effort to quickly sell the house. The traditional method of selling a house entails promoting the property, completing any necessary repairs, and waiting for the best bids to come along.

However, a real estate seller may not have the financial resources necessary to follow this method. Working together with a hybrid agent/investor might potentially speed up the process. Working with a person who "combines the best of a real estate agent and an investor" can be the best alternative available.

The majority of homeowners who are selling their properties do not have the luxury of hanging around and waiting for potential buyers. Even if the seller does not have to worry about the expense of renovations or securing financing, the

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reality that they have to sometimes wait for a better bid or accept a lower one makes the process of selling a property a challenging one. As a result, the majority of people would want to sell the home quickly for cash so that they can relocate or pursue other real estate investments.

**What Is Hybrid Real Estate?**

There is no question that this forward-thinking concept, which is oddly neglected in the real estate market, is a viable business foundation. This is because it takes the best aspects of each of the other models and blends them into one. It gets the benefit of both the market expertise of a real estate agent and the financial skills of an investor.

A buyer or seller would often go to a real estate agent with a list of needs in order to facilitate the transaction. They choose the parameters for the final product, including its cost, timeline, and goals. When dealing with an agent investor, buyers and sellers in today's market, on the other hand, have a great deal more discretion than they had in the past.

Sellers have the option of selling straight to the agent if you go with the hybrid agent/investor strategy, or they might advertise your home with a multiple listing service (MLS). This choice gives them the ability to enter the market safely since it involves the participation of a reputable investor on the side.

**The Hybrid Real Estate Agent First Strategy**

The hybrids are individuals who perform the functions of both an agent and an investor. The advantage of being a hybrid is that it gives sellers more options to choose from, which is a positive development. They will have a far more enjoyable experience as a result of your service. You are assisting them rather than casting them out into the market to fend for themselves in a hostile environment.

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If you can figure out a way to manage the leads you already have using a hybrid strategy, you may be able to improve your revenue by as much as 50%. This has nothing to do with boosting the number of leads that you generate. This is about how you can get the most out of the leads you already have. The end result is increased profitability and a competitive advantage in the market.

Depending on whether you perceive yourself mainly as an agent or an investor, you may choose from one of three approaches to hybrid. It should be emphasized that hybridization is a tactic utilized by sellers who are motivated to sell their properties. Clients that are considering making a purchase can not use this strategy.

Purchasing real estate for retail is often not something that investors and wholesalers are interested in doing. They could be, but typically they aren't.

Those who want to sell retail also end up buying retail, in contrast to those who want to sell wholesale, who may or may not end up buying retail in the future. To put it another way, what we are trying to say is that this strategy is a prime example of a "motivated selling" tactic.

This implies that if you are an agent first, you have a well-established reputation as such in your community. You are well-known in your community for the job that you do as an agent, and the majority of your web presence is devoted to that function; nevertheless, you also dabble in investing.

Now is the time to get your website for your retail agency up and running. You are necessarily going to have IDX integration. You will mostly acquire buyer leads from it, but you will also get some seller leads as a result of that. Ultimately, it will be for the sake of establishing trust.

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You can improve your Search Engine Optimization (SEO) with Google and Facebook ads to increase your traffic. Nevertheless, you need to have a separate website that is tailored only to the needs of highly motivated property sellers. If you try to use both types of content on the same website, you won't be able to communicate with the motivated house seller.

You should adjust the content of your hybrid website that targets motivated house sellers to the language that is most likely to convince a seller to collaborate with you. This is especially important if you want to attract more qualified leads.

On the hybrid website, for instance, you may show anything along the lines of "If you're interested, we can make you a cash offer, or we can sell it for top dollar". They need to be shown case studies of your work. You will include examples of your process, as well as feedback from clients who have successfully used it in the past.

The search engine optimization (SEO) of your website is what will allow visitors to locate it. This is a wonderful location to find folks that are interested in making a quick sale of their properties. When it comes to advertising, Google Ads is one of the best venues for real estate sellers to do so. Advertising on Facebook can also be quite successful. You should however start with Google Ads since there you can build trust, get feedback, and show that the property can be sold or acquired at the asking price.

**The Hybrid Real Estate Investor First Strategy**

Now, let's say that you're not actively looking for buyer leads and that you're an investor who has gotten a real estate license instead. It is not retail consumers that you want to attract.

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Because of this, having a retail location is no longer necessary. It is not required to have an IDX-enabled website. It is not required that you have a website that demonstrates that you operate a brokerage or real estate business.

You need a hybrid motivated seller website if people know you as an investor, but you just recently got your license so that you can commission shares with other agents or anything along those lines. You may choose to forgo the retail site that incorporates an IDX if you aren't actively seeking out retail buyers.

Assume someone works with retail buyers while being primarily an investor. In addition to this, they collaborated with a broker to arrange for another party to act as their official broker in the relevant jurisdiction.

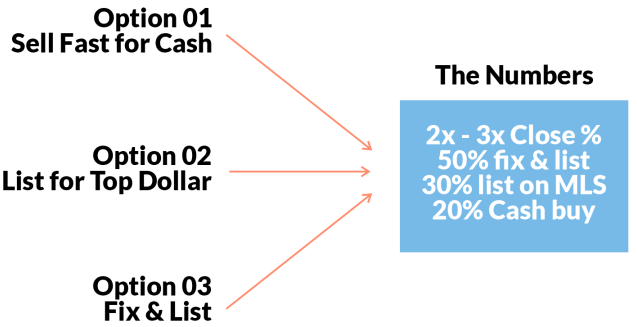
The leads they gather from sellers who are keen to sell are then used to advertise properties via their brokerage, while the leads they collect from buyers are used to find sellers who aren't interested in a cash discount but would rather sell retail.

Because of this, they need a website dedicated to retail. The investment division of the business, which is responsible for the majority of the company's revenue, is driven by marketing efforts directed at prospective home sellers.

They are able to increase the proportion of commissions they can receive by more than 30–50% without increasing their advertising expenditures because they attract customers through their retail operation. This speeds up the sale of the properties they flip and results in the said increase in commissions.

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## Advanced: Adding a 3rd Option




**Sell Fast for Cash**
The first option that may be considered is to sell the property to get quick cash. iBuyers are engaging in the same activity, and some of them advertise the home on their own, placing them in direct competition with real estate agents (or, in some cases, indirect collaborators).

In the event that this option is not feasible, your job as a hybrid needs you to suggest to the seller the course of action that will be of the best advantage to the purchaser.

You should probably suggest the following to the seller the majority of the time: "You really need to take advantage of this opportunity that has been presented to you over here. You should consider putting it up for sale since you would earn X price more if you do so, but if you want convenience and speed, they are willing to give up part of your equity to make it happen for you. You could get a cash offer of X from us".

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**List for Top Dollar**
Option two is to put the highest possible price tag on the home.

**Fix and List**
The third item is the fix and list, which involves fixing and then listing the property. The fixing list entails saying...

“That is one stunning home you and Mrs. Seller have there. I think we could get $300,000 if we put it on the market today, but I believe we could get $375,000 if we put in an additional $50,000 or $25,000 to renovate the kitchen, this bathroom, and the floor. What do you think, Mr. and Mrs. Seller, if we put up some of our own money and give the place a full facelift?

So, we're going to dispatch the construction team. I'll show you some of the excellent results we've achieved. The labor is ours to do. We'll put in $25,000 to fix it up, list it for sale, and split the profit with you if it sells for more than $325,000. Due to my $25,000 investment in the renovation, I will get that amount plus a commission on the first $300,000 and half of any profits over that”.

In light of your hybrid roles as an investor and an agent, the commission on the $300,000 will be paid to you. You may expect an extra $25,000 in profit since you and the seller have agreed to split the profit of $50,000. In contrast to the other agents' claims that they could sell it for $300,000 on the market, you were able to convince your seller to sell it for $375,000 instead.

## Why Hybrid Estate Agencies Are The Future Of The Industry

While 100% online real estate companies haven't found success, a hybrid that combines the market expertise of brick-and-mortar firms with the accessibility of digital ones

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has found a niche.

One of the many advantages of these 100% online or online-only real estate agencies is the convenience they provide. While it's unfortunate, their failure demonstrates the necessity for well-designed, hybrid online real estate brokerage services. It is because of this realization that hybrid organizational structures have become more common in recent years; businesses have seen the value in this approach and adopted it after seeing it employed successfully for a number of years.

However, this strategy is still in its infancy, and given its proven effectiveness, more companies are likely to embrace it in the future, positioning it among the real estate strategies that will shape the industry.

**Pros and cons of becoming a hybrid real estate broker**
Before determining whether to become a hybrid real estate broker or not, it is important to carefully weigh its advantages and disadvantages.

**Hybrid real estate brokerage pros**

- Providing services at set rates or with low commissions has the potential to attract many new clients and foster lasting relationships with clients;
- In hybrid brokerages, there is often a division of responsibilities, with one agent showing the house, another agent drafting the paperwork, and maybe a third agent managing the closing. If you have a flair for talking with people, you may be able to be recruited as a field agent without ever having to fill out a disclosure statement;
- Hybrid brokerages often excel in attracting customers, who are then referred to agents. You won't have to

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phone strangers in order to find out about vacant homes;

- Agents working for hybrid firms like Redfin get a salary in addition to other benefits. Agents who do not want to take any risks and would rather know precisely when they will be paid may benefit from this.

**Hybrid real estate brokerage cons**

- For some people, the prospect of making a huge sale and potentially raking in a lot of cash is both exhilarating and motivating. People who want to go into the real estate market for the thrill find that hybrids aren't the best option for them;
- A significant number of the agents who are employed by hybrid agencies have regular work hours and are free from work on weekends, most often on Sundays;
- A sales career may get its start with the help of a team and a mentor, two tried-and-true methods that have stood the test of time. Hybrids aren't the best choice if you want to learn the ropes from a seasoned broker.

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# EXAMPLE OF REAL ESTATE BUSINESS MODEL

## THE ZILLOW BUSINESS MODEL

Zillow is a real estate company that provides a wide range of services to meet the needs of both home buyers and sellers. A home-buying service and a marketplace where individuals may post classified advertising about properties that are up for sale or rent are two of the numerous services that the company provides.

**How Zillow Makes Money**

Zillow generates revenue from house flipping (for which it earns a fee), the sale of real estate leads, and the collection of interest on its mortgage loans.

Homes, IMT, and Mortgages are the three categories that comprise Zillow's revenue distribution system. When the company originally opened its doors for business in 2005, advertising was the sole source of revenue that it had. It was speculated that if the company catered to a certain kind of user, it could be able to provide advertisers with audiences that were more engaged and targeted.

The Zillow Group's gamble paid off, and as a result, it is today one of the most successful online real estate firms in the United States.

In order to have a better understanding of how Zillow

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generates profits for its shareholders, we will investigate the three primary channels via which the firm generates revenue.

**Homes**
Zillow's main source of income comes from fees associated with real estate transactions. Because of its Offers program, Zillow was able to swiftly earn a profit on the purchase and selling of houses. The stress that comes along with selling a house made the nearly instant cash offer made by Zillow a very appealing proposition to sellers.

In addition, when Zillow purchases a seller's listings, it charges the seller a transaction fee of 6% of the purchase price. In addition, it imposes a fee that falls somewhere in the range of 3.5–4.5% as a means of paying taxes and other operating expenses. This industry was responsible for a remarkable 1.7 billion dollars worth of revenue in the year 2020.

**Mortgages**
In 2018, Zillow completed the acquisition of Mortgage Lenders of America, which enabled the company to become a licensed lender. The reengineering of financial products has become something of a hallmark for the firm, and one example of this is Zillow Home Loans. Using this service, borrowers have the option of either refinancing an existing debt or taking out brand-new loans.

The interest rates offered by Zillow change depending on the particulars of each loan. To broaden its range of potential income sources, Zillow now collaborates on its mortgage platform with more than fifty distinct lending institutions. When Zillow is successful in matching a borrower with a lender, the firm receives payment for its services. In addition, there is a fee associated with the use of Zillow's Connect Service, which boosts the exposure of lenders to prospective borrowers.

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The revenue that Zillow generated from its mortgage services shot up to a staggering $246 million by the end of 2021, up from only $174 million in 2020.

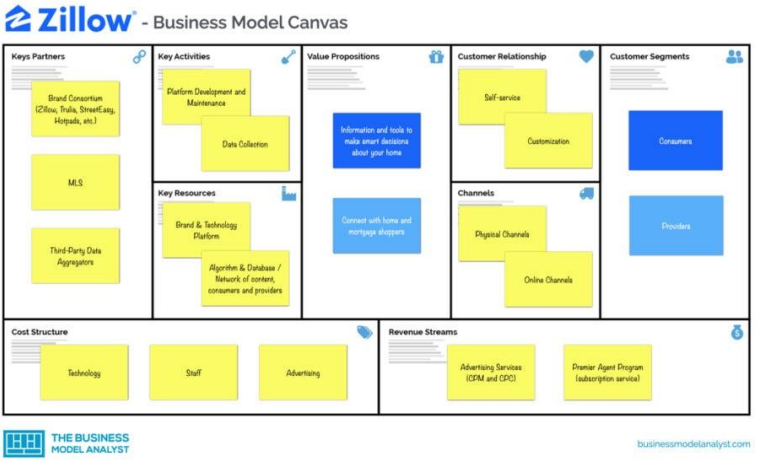
**Internet Media and Technology (IMT)**
The internet and several other forms of technological advancement play a pivotal role in Zillow's business strategy. Because of this, the fact that they are a part of the company's money-making engine is not surprising at all. Zillow has been supplying real estate professionals and individuals with ready-to-use software as well as marketing services ever since the company was founded in 2006.

Zillow's Premier Agents and Premier Brokers programs rake in revenue for the firm by putting real estate agents and brokers in touch with people who may be interested in purchasing real estate. Zillow also provides advertising services to real estate brokers, construction companies, photographers, and other professionals in related fields.

The profits from IMT were reported at $1.9 billion in 2021, which was an increase from $1.45 billion in the previous year.

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## Zillow's Business Model Canvas




### Zillow's Customer Segments

Zillow has two types of customers that complement one another, both of whom benefit from the company's core objective of making high-quality real estate services accessible to the masses.

**Service/Content Consumers:** The almost 3 million monthly tenants, buyers, and sellers who use Zillow represent a major chunk of the company's customer base.

**Service Providers:** On one side you have homeowners who use Zillow to market their homes for sale or rent, and on the other side you have real estate agents, property managers, home remodeling professionals, inspectors, photographers, and other professionals who publish advertising and subscribe to Zillow.

### Zillow's Value Propositions

Zillow's value propositions, which are reflective of the company's basic values, are as follows: ease of access, personalized experience, and endorsement. They are the

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three distinct but complementary perspectives from which their services are presented to the user.

**Ease of Access:** Before Zillow came along, it was difficult for customers to find the real estate information they were seeking, for since there was no centralized place for real estate data. Zillow's entrance into the market caused a profound shift in its dynamics. By disseminating relevant information, it contributed to the beginning of a revolution in the real estate business.

For example, Zillow's Zestimate analyzes information that is available to the general public to derive an estimate of how much a home is now worth on the market. Homeowners may use this data to gain an idea of how much their houses are going for on the market at the moment by comparing it to similar properties.

In a similar vein, prospective buyers may use Zillow to sift through the over 110 million houses that are currently up for sale throughout the United States and Canada and bookmark the properties that are of the most interest to them.

**Personalized Experience:** Because the Zillow website and apps are very customizable, users are able to enjoy an experience that is singularly tailored to their preferences.

Zillow provides homebuyers, renters, and current homeowners with access to a wide range of useful tools. Using Zillow's affordability calculator, they may choose a neighborhood within their price range.

Interested parties may either negotiate a deal with the property's current owner, pursue a foreclosure, or enlist the services of a Zillow Premier Agent. They may get a home loan to help pay for a house. Prospective renters might potentially speed up the process of having background checks and

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credit checks performed on them by submitting a detailed proposal via Zillow. By using this strategy, prospective renters significantly improve their odds of moving into the residence that best suits their needs.

**Endorsement:** Zillow helps real estate agents grow their business by lending them its brand and reputation to use in marketing and advertising campaigns. The word Zillow is nearly often used in conjunction with successful outcomes in the real estate market. Premier Agents who get their stamp of approval will rise in the ranks almost immediately.

**Zillow's Channels**

- Website
- Mobile apps (Android/iOS)
- TV and Print media ads
- Blogs
- Social media

**Zillow's Customer Relationships**
The Zillow website serves as the main channel via which the firm communicates with its myriad of customers. However, the company also uses other forms of online communication, such as Twitter, Facebook, and YouTube, amongst others.

**Zillow's Revenue Streams**
Zillow's home-flipping service, Zillow Offer, has been shut down. Prior to this, this segment was responsible for approximately 60% of the company's annual earnings, but it has since been replaced by other revenue streams.

- Ad-revenue

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- Zillow 360 Bundled Services revenue
- Commissions from agents
- Zillow Closing Services revenue
- Income from New Construction, StreetEasy, etc.
- Mortgage-interest
- Revenue from rents

**Zillow's Key Resources**
The majority of Zillow's services are web-based. However, some of their apps include:

- Zestimate
- Housing Super App

**Zillow's Key Activities**

- Physical touring arrangements
- Financing of home acquisitions
- Fill real estate info gaps
- Lead-generation

**Zillow's Key Partners**

- Investors
- Buyers
- Sellers
- Agents and other professionals in the real estate industry

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### Zillow's Cost Structure

- Overheads
- Acquisitions
- Maintenance costs and technological advancements

## Zillow’s SWOT Analysis

### Zillow’s Strengths

- World-Class Management Team
- Skilled Workforce/workplace
- Brand recognition
- Reliability
- Coverage
- Resources
- Solid financial base
- Diverse product portfolio
- Customer satisfaction

### Zillow’s Weaknesses

- Complex inventory
- High transaction fees
- Lopsided lead generations

### Zillow’s Opportunities

- Innovative techs

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- Real estate growth prospects

**Zillow's Threats**

- Extreme competition
- Litigation
- Real estate unpredictability
- Possible cyberattack

# THE STRIKE BUSINESS MODEL

Strike is an online real estate company that lets users buy and sell properties without having to pay the associated agent fees.

**Strike's Founding Story**

Alexander and Sophie Gosling launched their business, Strike, in the city of Colchester in the United Kingdom in the year 2007. Alexander and Sophie got married while launching their own business from scratch. Prior to its launch, Strike was referred to as HouseSimple.

When it was established in June 2007, HouseSimple quickly established itself as one of the most technologically advanced real estate companies in the country. The Goslings were of the opinion that real estate brokers, both at the time and maybe even today, were earning fees that they invested in flashy cars and extravagant offices. The Goslings believed that these expenditures might have been avoided by handing the savings on to customers.

They had everything at their disposal to find a solution to the problem. The whole of Sophie's father's career was spent working in the property sector. After learning the ropes from

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him, his daughter went on to spend six years working in relocation for firms like Deutsche Bank.

HouseSimple was first launched in June 2007, and in order to bring in clients, the firm implemented promotional pricing. They essentially had three plans: either pay an initial charge of £199, in which case the firm would take 0.10% of the selling price; pay an initial fee of $99, and the cost would be 0.25%; or pay no money initially, and the fee would be 0.50%. Meanwhile, traditional real estate agencies often demanded a commission of 2% or more from clients.

In October, just four months after the company's debut, Alexander and Sophie successfully closed their first significant business transaction. Because of the low commission fee of 0.67%, the seller saved approximately £40,000 on the sale of a home in Essex that they listed for £3 million and ultimately sold.

During the years that followed, HouseSimple maintained an exceptionally quiet profile as its founders focused on growing the firm via self-funding. The creators presumably did not want to seek financing since they would have obtained unfavorable terms as a result of the Great Financial Crisis of 2008, which caused housing prices to collapse all across the globe.

Despite this, the team was able to more than fourfold the annual average revenues over the first seven years of operation. According to HouseSimple, it was the second-biggest online real estate agency at the close of 2015, with PurpleBricks being the only online agency that was larger. Approximately at the same time, the organization was able to get their first investment from a third party. The first investment was five million pounds, and it was made by Sir Charles Dunstone, the founder of Carphone Warehouse.

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Meanwhile, HouseSimple was recognized as the top online real estate agency by the Negotiator Awards in both 2014 and 2015. As a result of the increased publicity, HouseSimple was successful in securing more funding in the month of June in 2016. After doubling the number of properties it listed in the preceding year, the firm was able to successfully raise an extra thirteen million pounds in capital.

During that time, only about 5% of homes in the UK were sold online; however, analysts anticipated that figure would climb to more than 50% by the year 2020. Because other businesses in the industry, such as eMoov and PurpleBricks, were increasing their prices, the firm made the decision to significantly reduce their own in order to capture a greater share of the market.

HouseSimple, however, ran into problems with the veracity of its advertising as well as the veracity of the low prices it offered. Following a complaint that one of the firm's advertisements suggested that the company's prices were excessively low, the advertising regulator Clearcast investigated the company in question. By August 2017, all of the complaints that had been filed against HouseSimple had, thankfully, been addressed and remedied.

In addition, further reductions were introduced thanks in part to some of their funding. In 2018, the real estate agent only collected fees from customers if they are able to sell their home successfully. One year later, it did away with those premiums in their entirety. As a result, the customer would not be charged a commission regardless of whether the property's owner was successful in selling it or not.

In response to HouseSimple's attempts to keep prices as low as possible, some of the company's competitors began to actively challenge the company's business. HouseSimple, however, maintained that the growth in the number of leads

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would more than compensate for any potential decline in revenue.

A rebranding initiative that started the previous year has resulted in HouseSimple changing its name to Strike, effective as of July 2020. The firm began selling its services in other regions of the country as part of an effort to play catch-up with PurpleBricks, the leader in the market at the time.

Strike was fully rolled out to all of England by January 2022. Already, an additional eleven million pounds had been collected in order to fund these initiatives. Strike is already handling more than 10% of property transactions in a handful of locations in the United Kingdom, making it one of the most rapidly expanding online agencies in the country.

**How Does Strike Make Money?**
Strike generates revenue via the provision of its premium services and by the collection of referral fees from the companies that it partners with.

After announcing in June 2019 that it will no longer charge its agents a fee, Strike encountered a number of serious challenges shortly afterwards. This action stood in stark contrast to the paradigm that is often associated with real estate brokerage. However, the company's competitors in the online real estate market, such as PurpleBricks, continue to levy commission fees of 1.5% or more (give or take) on successful real estate transactions.

The usual commission fee for a real estate agent may be anywhere from 0.75% to 3%, depending on criteria such as the location of the property, the kind of property being sold, and so on. Strike has effectively followed the retail model pioneered by giants such as Tesco and Walmart by focusing on volume-based businesses and offering extremely cheap

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rates. The free selling service is offered by Strike as a loss-leader in the hopes of attracting new clients.

Despite this, it is of the opinion that the sheer volume of potential customers will more than compensate for this deficit. Because of this, it's possible that a sizable number of people who are interested in paying for more packages or services may sign up for its free ones at first. Also, the organization makes use of technology to automate operations such as the submission of listings to the many websites on which they are marketed.

To further reduce expenses, Strike does not maintain any pricey brick-and-mortar locations.

Strike offers extra services, such as hosted viewings (beginning at £699) and increased listing exposure (beginning at £599), for an additional cost. 60% of Strike's users, in contrast to the other 40% who don't pay anything, apparently prefer to pay for one of the premium packages in order to have access to more features.

The company not only offers its own services, but it also provides recommendations on other products. For example, mortgage advice from Strike is provided free of charge in 99% of all circumstances, while the other 1% entail a price of $499 based on the intricacy of the scenario.

However, the true profit is made by connecting customers with lending institutions. The interest payments made by homebuyers would be sent to Strike, and the business would keep a share of each payment.

There is a possibility that in the not-too-distant future, the firm may broaden the range of high-end services that it offers. As an extra advantage, Strike may develop products for real estate brokers and charge those brokers a fee to provide

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them access to private talks with the platform's users.

### Strike Funding, Revenue & Valuation

Two rounds of venture finance totaling 33 million pounds have reportedly been closed by Strike. Its backers include Freston Ventures, a venture capital firm, and Toscafund, an asset management organization, as well as Carphone Warehouse co-founder Charles Dunstone.

Strike is privately owned, thus the company is not required to disclose any of its financial information, including its revenue or worth. It is possible that it will make this decision in the future once it has gone public or raised further funds.

## THE REDFIN BUSINESS MODEL

Redfin's business model is predicated on the provision of services that are related to real estate brokerage. At the moment, Redfin is one of the real estate websites in America that receives the most traffic. According to the company, it receives more than 40 million unique monthly visitors.

### How Redfin makes money

Redfin's principal source of revenue comes from the listing fees that sellers must pay in order to use the company's services to sell their homes. In addition, the company generates revenue by the purchase and selling of properties that it obtains through its quick buyer program (Redfin Now). They also generate revenue by introducing customers to other businesses that are affiliated with them and earn commissions on such referrals.

Listed below are the many revenue streams that contribute to Redfin's bottom line:

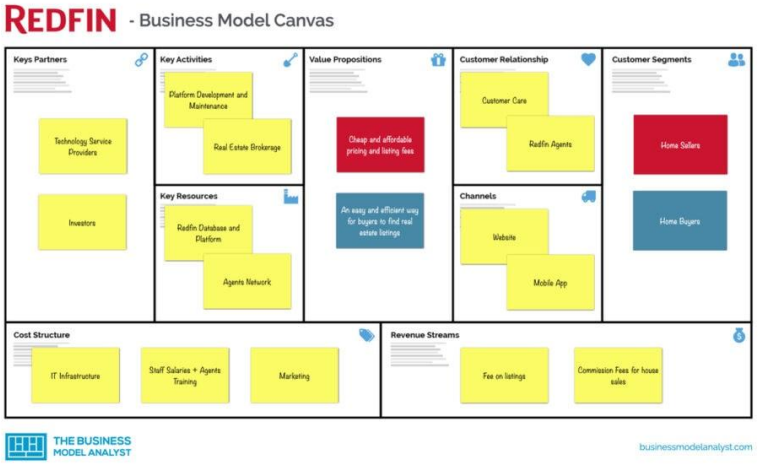
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**Real Estate Brokerage**
Every transaction that takes place on the company's marketplace is subject to a listing charge ranging from 1% to 1.5%. Redfin's primary source of revenue comes from commissions like this one.

**Redfin Instant Buyer Program (Redfin Now)**
The company's second-largest source of revenue comes from the selling of residential properties. Homeowners have the option of selling their properties to Redfin, which will subsequently make any necessary repairs and resell the property at a profit.

**Partner Fees**
Redfin works along with several different businesses and real estate agents in order to facilitate the sale of residential properties. The company will recommend clients to its partners in exchange for a commission for making the referral.

## Redfin's Business Model Canvas




**Redfin's Customer Segments**
These are the different types of customers that Redfin serves:

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- Home sellers
- Home buyers

**Redfin's Value Propositions**
These are the value propositions offered by Redfin:

- An efficient and straightforward solution for prospective buyers to get listing information
- Competitively priced listing and acquisition options

**Redfin's Channels**
The various Redfin channels include:

- iOS and Android mobile apps
- Website
- Social media

**Redfin's Customer Relationships**
Redfin's channels for establishing and maintaining connections with clients include:

- Customer care services
- Social media
- Redfin agents

**Redfin's Revenue Streams**
Redfin's sources of revenue include:

- Commission on listings
- Commission from successful house sales

**Redfin's Key Resources**
Redfin's key resources include:

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- Agents
- Mobile app
- Website
- Database

**Redfin's Key Activities**
Redfin's key activities include:

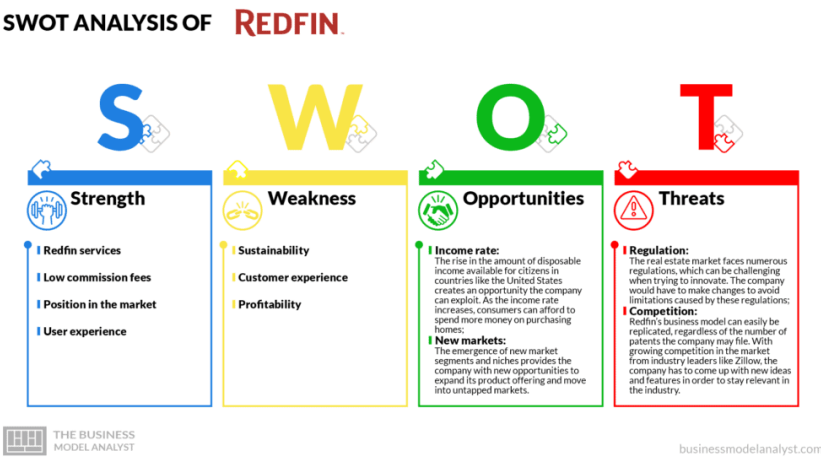
- The provision of real estate brokerage services
- Marketing
- Software development

**Redfin's Cost Structure**
Redfin's cost structure includes:

- Staff salaries
- The Development and Upkeep of Technological Infrastructures
- Marketing
- Training agents

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## Redfin's SWOT Analysis




### Redfin's Strengths

- **Redfin services:** Redfin is an online hub that provides all of its clients with a centralized spot for all of their real estate brokering needs. It has been successful in capturing a sizable share of the real estate market by offering an extensive range of services to its customers;

- **Low commission fees:** The listing commission charged by Redfin decreased to 1.5%. When compared to those of its rivals, Redfin's commission rates are one of the most affordable in the industry;

- **Position in the market:** Although there are a variety of alternative brokerage platforms accessible, one of the most well-known options is Redfin. Together, the website and mobile app attract more than 46 million unique users each month, which results in a market valuation of more than one billion dollars;

- **User experience:** Redfin was established with the goal

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of simplifying the procedures of purchasing and selling homes, and it has been able to accomplish so effectively since its inception. Innovative features on the website, such as a map-based listing of homes or 360-degree video tours of the company's featured properties, contribute to an improved user experience on the site.

**Redfin's Weaknesses**

- **Sustainability:** Redfin has been under fire from a number of environmental organizations recently due to the company's policies and practices around waste management;
- **Customer experience:** There is a risk that Redfin's reputation might be harmed as a result of the company's failure to adequately respond to customer complaints about service gap concerns;
- **Profitability:** Since its inception, Redfin has never achieved a substantial level of profitability.

**Redfin's Opportunities**

- **Income rate:** The rising level of consumer spending in countries like the United States presents an opportunity for the company to profit from this trend. The expansion in consumers' disposable incomes directly correlates to an increase in the amount of money that consumers have available to spend on housing purchases;
- **New markets:** The company now has the potential to diversify its product offering and penetrate sectors that it had not previously explored, thanks to the emergence of new market niches and subsegments.

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**Redfin's Threats**

- **Regulation:** It is tough to experiment in the real estate sector due to the many laws and limitations that are in place. It would be necessary for the company to make certain changes in order for it to be able to function freely and independently within the restrictions imposed by these guidelines;

- **Competition:** It makes no difference how many patents Redfin applies for since their business model can easily be reproduced. In order to compete with industry heavyweights like Zillow, constant innovation is required.

# THE KNOCK BUSINESS MODEL

Knock is an online real estate marketplace that helps homeowners trade houses (using its proprietary Home Swap service). It gives property owners the ability to trade in their older homes for newer ones.

### Short History Of Knock

Knock is a technology company that was founded in 2015 and has its offices in New York City. Even before they established Knock, the co-founders, Sean Black and Jamie Glenn, left their mark on the real estate industry by easing the shift of the industry to the internet. This was their first major contribution to Knock.

Black is one of the initial founders of Trulia, a website that houses a property database and has grown to rank among the most well-known real estate portals in the country. During the five years that Black worked at Trulia, he devoted a significant amount of his time and energy to the growth of the company's sales and operations teams.

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Glenn began working for Trulia roughly one year after the firm was founded as the vice president of product management for the organization. In the past, he was a significant contributor to Yahoo's efforts to develop its property and classifieds services.

Both Black and Glenn ultimately made the decision in 2010 to quit their jobs at Trulia, where they had worked together for some time. Zillow acquired the company for a total of $3.5 billion in shares. SalesCrunch, the firm that Black went on to create, was an analytics platform for sales teams that garnered comprehensive insight about the customers of its clients. The year 2013 saw the acquisition of SalesCrunch by ClearSlide.

After that, Glenn worked his way up to the position of Chief Product Officer at Jobvite, and then CEO at Uversity. In 2015, TargetX completed the acquisition of the predictive analytics education technology company, Uversity. Concurrently, a novel trend emerged in real estate. During the last several years, a new kind of startup company known as iBuyers gained an amazing amount of popularity and drew millions of dollars in venture capital.

Companies like Knock employ sophisticated algorithms and massive amounts of data to make fast cash bids for residential and commercial properties. The rapidity with which they can earn a profit as well as the higher margins at which they can do it are both results of the technical prowess that they possess.

Sakhuja, a Silicon Valley IT executive and entrepreneur, joined the founding team and began riding that trend. In August 2015, they formally incorporated Knockaway Inc. The company didn't open its first market until one year later, when it did so in Atlanta. A few months prior, the founders of the firm had successfully completed a seed round in which they

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raised $2 million.

The company picked Atlanta as the location for its beta test to see whether the idea of house-swapping would be successful or not. After nine months, it was concluded that the test was successful, and the business received $32.5 million in capital as a result of a Series A investment led by RRE Ventures.

The company was able to expand its operations into other nations when it successfully obtained an extra $400 million during its Series B investment in January 2019. Throughout the years 2019 and 2020, Knock kept up its rapid rate of growth. At the beginning of 2021, the position of chief financial officer was offered to Michelle DeBella, who had previously worked for both Lyft and Uber.

This move served as a clear indication of their intention to make their plan public. Knock sought the assistance of the investment bank Goldman Sachs during its attempts to build interest in a potential initial public offering (IPO). In March 2022, however, all of their plans came to an abrupt end.

Knock decided not to go public after all and let off nearly half of its workers as a result. To keep things going, it secured loan financing to the tune of $150 million and equity backing of about $70 million. Knock is now accessible in 75 different markets throughout the United States. It's a somewhat large employer now, with 125 individuals on staff.

**How Does Knock Make Money?**

When it successfully sells a home, Knock generates revenue from the sale price. It also receives payment in the form of service fees. After the transaction is finalized, homebuyers are charged a convenience fee equal to 1.25% of the purchase price (except, of course, they wish to roll the cost into their mortgage).

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In addition to its convenience fee, Knock generates the bulk of its income from the sale of the properties it acquires and remodels.

As an iBuyer, Knock relies on information acquired from public records and previous sales to establish what it believes to be a reasonable price for the homes it purchases. The responses that merchants provide in response to the initial questionnaire that the platform provides help to enhance the quality of the data.

Because of this, it focuses on single-family homes that have prices ranging from $100,000 to $500,000 in middle-class and moderately populated cities like San Antonio and Houston. It is much easier to assign a value to comparable properties since there is a wealth of data available on the previous sales of homes in the same category. In addition, Knock employs human professionals, like real estate brokers, to validate its predicted pricing when it comes to purchasing and selling houses.

**Knock Funding, Valuation & Revenue**

Knock has successfully completed 8 rounds of financing from investors, resulting in the accumulation of $654.5 million. They have a number of noteworthy investors, including Company Ventures, Greycroft, RRE Ventures, Redpoint, and Foundry Group, among others. During each of the investment rounds, investors were not informed of either the worth of the firm or its yearly sales during that time. In the run-up to its aborted initial public offering (IPO), Knock had projected that it would be worth $2 billion.

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# THE OPENDOOR BUSINESS MODEL

Opendoor is a simple and user-friendly online marketplace that facilitates the buying, selling, and trading of residential real estate. When it comes to turning a profit, the core of Opendoor's business strategy is to successfully resell the properties that it has purchased at a gain.

**A brief history of Opendoor**

Entrepreneur Keith Rabois, Eric Wu, former founder of Movity, and JD Ross, a general partner at Atomic, came up with the idea for Opendoor in March 2014. When Keith Rabios was attempting to find out how to streamline and quicken the process of converting real estate investments into revenue in 2004, he came up with the idea for the company. After ten years, he joined forces with Eric Wu and began working toward the realization of his idea.

Their goal was to make the buying and selling process seem less daunting to potential customers. As a result of their commitment to achieving this objective, in March 2016, they launched a trade-in service that made it easier to buy and sell houses simultaneously.

They began working with several construction companies in 2018 in an effort to make the process of purchasing a house more streamlined. Homeowners who choose this route have a better chance of avoiding the need for a second mortgage as well as a second move, regardless of whether they choose to purchase a speculative house that has already been completed or one that is still in the process of being built.

This collaboration brought in around $1.5 billion dollars more money each year. After having already secured backing of

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$400 million from the SoftBank Group Vision Fund, they extended their operations into 12 other markets within the United States.

They released a new app feature in 2019, and it's called "Buy with Opendoor". It gives consumers the ability to finance the purchase of their perfect house on their own terms, and they can do it all from the comfort of the app itself. In addition, "Opendoor home loans", a tool that assists individuals in acquiring mortgages, were made available. Using this strategy makes acquiring financing just as uncomplicated and worry-free as the purchase of a home.

It is currently offering the title, escrow, and closing services as part of a long-term cooperative agreement with OS National (OSN).

They were forced to let go of 600 employees in 2020 as a result of the COVID-19 pandemic. They made the announcement that they would halt home purchases during the lockdown in order to ensure the safety of their customers. However, after implementing a contactless feature in May 2020 that permitted digital buying and selling, they were able to quickly reintroduce the feature.

**How Does Opendoor Work?**
Opendoor, as an iBuyer, has some of its rivals in the real estates industry, such as Redfin, Offerpad, and Zillow.

Using Opendoor, you may sell your house without engaging the services of a real estate agent, spending money on professional photography, promoting your listing across various channels, negotiating with potential buyers, or hiring a lawyer. Opendoor takes care of everything that has to happen in order to finalize a deal.

Following the conclusion of the seller's approval of

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Opendoor's offer, the business will carry out a comprehensive quality inspection of the property. By doing so, they are able to check the claims made by the seller and discover any hidden damage. Following the first inspection, the assessment findings are made available anywhere from five to seven days later. Following the completion of a house purchase, Opendoor will list the property on its online marketplace for potential buyers to view.

## How Opendoor makes money

A good way to describe Opendoor is as a company that spends money to make money. Opendoor is a real estate investment and brokerage firm. It generates revenue by buying and selling homes as well as by collecting fees from sellers. Additionally, it offers a variety of other services (such as a mortgage program, title and insurance services, and escrow) that are designed to simplify the process of buying and selling homes. All of these offerings are revenue generators for Opendoor.

While they do turn a profit on reselling, their largest source of revenue comes from the interest they receive on mortgage loans and the fees they charge for title insurance. They hope to revolutionize and reimagine the traditional real estate sector with the assistance of their cutting-edge technology and a sizable pool of investor cash.

### Service fees

There is a 5% commission charge attached to the purchase of each homemade via Opendoor. The expenses, risks, and holding fees, in addition to a profit margin, are all accounted for in this service charge. The fact that the service charge is far lower than that of the competition is undeniably one of the most appealing aspects to a number of clients.

### Add-on services (mortgage, title, etc.)

The most recent move that Opendoor has undertaken to

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raise revenue is the provision of in-house title, mortgage, and escrow services. It is often the responsibility of the seller, or in this case, Opendoor, to offer title insurance; hence, including it in a transaction is a simple process.

In addition to this, they also profit from the interest that is accrued on the loans that they provide to other customers. Through the "Opendoor Home Loans" feature of the business, Opendoor offers customers financial options to assist them in the purchase of a home. Because of the shift in their strategy, both their revenues and their earnings have been on an upward trend.

**Home sales**
When it comes to generating money as an iBuyer, this is their primary source of revenue. Through the process of reselling already acquired properties, the firm is able to generate revenue. In addition, with the assistance of their automated system, they are able to precisely deduct the expenses associated with their sales and their acquisitions.

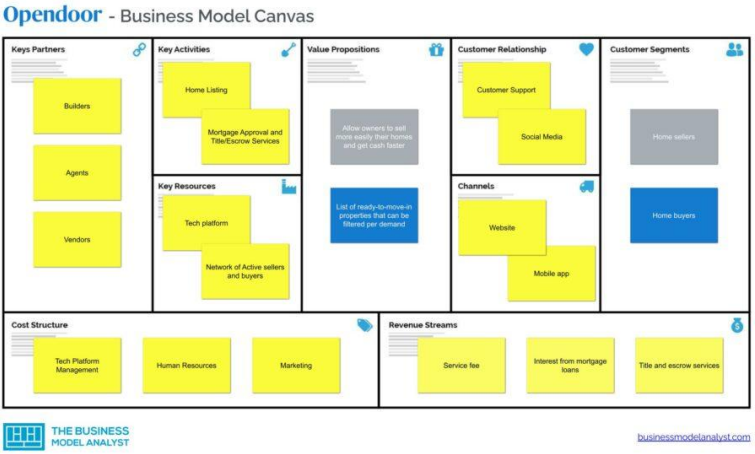
First, Opendoor requires that certain criteria be met by a residence before it can be considered for evaluation. This program is open to single-family homes that were built after 1960 and have an average value of between $125,000 and $500,000. Opendoor will take care of getting a property ready for the market if it meets these requirements.

### Funding and Valuation of Opendoor

Based on Crunchbase reports, Opendoor has successfully completed nine different funding rounds, bringing in a total of $1.9 billion from investors. When the company finally went public in the last month of 2020, it was able to acquire an additional $1 billion. The initial public offering (IPO) for Opendoor resulted in the firm being valued at $18 billion. Opendoor's $8 billion in revenue for 2021 marks a rise of 211% over the company's sales from the previous year.

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## Opendoor's Business Model Canvas




### Opendoor's Customer Segments

These are the different types of customers Opendoor serves:

- **Home sellers:** These customers anticipate that Opendoor will ease some of the stress that comes with selling their homes;
- **Home buyers:** People in this segment are looking to buy brand-new properties via Opendoor, which streamlines the buying process.

### Opendoor's Value Propositions

These are the value propositions offered by Opendoor:

#### Value Proposition for Sellers

Listing the house for sale on the platform's website or making a direct sale to Opendoor are the two distinct ways that a transaction may be completed when using Opendoor. Both of these options will ultimately lead to a different sales process

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and, as a consequence, a different value proposition for sellers.

If you list your property with Opendoor, you will have the opportunity to reach a larger pool of qualified buyers at a lower cost (a commission of 5% as opposed to the standard commission of 6%) and with a more efficient bidding process, which will result in a higher final selling price.

The most significant advantage of dealing with Opendoor as opposed to a conventional buyer is the receipt of immediate payment.

**Value Proposition for Buyers**
Buyers have the option of searching through a database of available houses and narrowing their search based on a set of criteria that they choose. In addition to this, they reduce risk by adhering to high standards of both quality and safety. Opendoor provides its buyers with a 30-day guarantee, during which time the customer has the option to buy the property back from Opendoor at the price at which it was originally purchased.

**Opendoor's Channels**
The various Opendoor channels include:

- Website
- Mobile app
- Blog

**Opendoor's Customer Relationships**
Opendoor's channels for establishing and maintaining connections with clients include:

- Customer support

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- Website
- Social media
- Blog

**Opendoor’s Revenue Streams**
Opendoor's sources of revenue include:

- Service fee
- Title and escrow services
- Interest from mortgage loans

**Opendoor’s Key Resources**
Opendoor’s key resources include:

- Their website and apps
- Network of active property sellers and buyers.

**Opendoor’s Key Activities**
Opendoor’s key activities includes:

- Home Listing
- Title and escrow
- Mortgage Loan Approval

**Opendoor’s Key Partners**
Opendoor’s key partners include:

- Builders
- Vendors
- Agents
- Investors

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**Opendoor's Cost Structure**

Opendoor's cost structure includes:

- Marketing
- Tech Platform Management
- Human resources

**Opendoor's Competitors**

- **Offerpad:** When a quick and easy sale is required, Offerpad is one of the options that might be considered. They provide lower deals and have a cancellation fee of 1% of the total cost. All relocations within a radius of fifty miles are covered at no additional expense to the client;
- **RedfinNow:** They are also a member of the iBuyer real estate business community. They purchase homes that are far more expensive, and they have a smaller inventory than Opendoor does;
- **Orchard:** Orchard has a stellar reputation among customers for providing exceptional buying and trade-in services. In contrast to Opendoor, they are not an iBuyer and there is no assurance that your home will be sold using their services. Their objective, on the other hand, is to make it easier for you to purchase a new home before the sale of the one you already own;
- **Knock:** They have the same objective as Orchard, which is to assist customers in locating and purchasing a new home before selling their current one. Prospective borrowers who participate in their Home Swap program have the opportunity to get help in arranging a down payment alongside a home loan. Their service fee of 1.25% is considerably lower than

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what Opendoor charges for theirs.

## Opendoor's SWOT Analysis

### Opendoor's Strengths

- Convenience
- Different Real estate services
- Large Customer Base
- Low service fee
- Tech integration
- Opendoor Refund Guarantee
- User-friendly platform

### Opendoor's Weaknesses

- Strict Criteria
- Limited to a few states,
- Sellers have to perform extensive repairs if problems are found.
- Sellers might end up with a loss.

### Opendoor's Opportunities

- **Business Strategy:** Their current business plan is fraught with danger, but it does hold the promise of future growth. They recently reached their break-even point, and they are well on their way to making more money than they had originally projected;
- **Additional services:** Their mortgage and title insurance offerings, as well as their escrow services, have established themselves as trustworthy revenue

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sources, and they stand to grow and improve in these fields.

**Opendoor's Threats**

- **Competitors:** Even though friendly competition may be a driving force behind growth, it also has the capacity to slow it down. And even in the event that they do face competition from other iBuyers, the real estate giants will continue to be their major concern. The more success existing businesses enjoy, the more actively they will attempt to seize major market shares for themselves.

# THE COMPASS BUSINESS MODEL

**What is Compass Real estate?**

The real estate firm, Compass, is an American firm that makes use of many online real estate technologies in its marketing strategies. This company generates funds in the form of sales commissions (which are received when a property is sold or leased out) as well as bridge loans (a service that helps sellers buy a new house before they get their proceeds from the sale of their current one).

**Short History Of Compass**

Robert Reffkin and Ori Allon, who had previously worked as programmers for Twitter, established the firm in 2012 under the name Urban Compass.

After doing property searches on the company's website or mobile app, early users of the Compass platform had the option to set up virtual meetings with full-time real estate agents.

The company transitioned from employing full-time brokers to

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relying instead on commissions from contractual brokers, all of whom remained independent. Compass has switched its focus away from the rental market and more toward the selling of luxury residences in affluent neighborhoods. Since the company's initial public offering on the NYSE in 2021, its market value has grown to more than $10 billion.

## How Does Compass Work?

Homeowners have the option of selling their properties on the site for no cost while also making use of other sales tools supplied by Compass, such as the company's concierge service. The homeowners will be responsible for paying Compass' brokerage fee and any other relevant charges.

## How Does Compass Make Money?

Compass generates revenue via the collection of referral fees on loans and other services, in addition to a commission on any transactions that are made through its platform.

### Sales Commission

Commissions earned from sales account for a significant amount of Compass' total revenue. A commission is received each time Compass’ agents are successful in closing a transaction (or finding a tenant for a rental property).

The typical commission rate for the sale of a home is 3% of the home's selling price. However, commissions are dependent on the particulars of the agreement that Compass has reached with each client. Compass also receives a portion of the revenue from rental properties and fees from newly constructed buildings.

After that, the commission is split between the real estate agent and Compass. Current Compass employees and previously employed by the company have said that the conditions of the agent's contract are a factor in determining the proportion of commission that is paid to the agent. Agents

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who have more experience or who are more well-regarded may have the ability to negotiate a bigger percentage of the earnings for themselves.

The model created by Compass distinguishes it primarily due to the technological advantages it has. Real estate agents may be able to more effectively manage their time and deliver improved service to their clients with the assistance of their technological tools.

Compass is able to improve its profit margins thanks, in part, to the fact that it caters to wealthy customers and residents. If a seller takes advantage of the company's concierge service, there is even the possibility of a higher commission.

Additionally, the platform's ability to attract buyers and renters is further boosted by the fact that it connects sellers and customers and lets the latter peruse listings in their immediate area.

Compass advertises homes via its Exclusives section before they are made available to the general public, with the goal of raising interest and, ultimately, sales. Redfin, one of its main competitors, employs a business strategy that is similar to Compass'. The company was an early adopter of the practice of providing its agents with a range of technical tools to assist in the process of closing deals.

In addition to earning revenue from commissions on sales, Compass also generates revenue from a variety of auxiliary services. For instance, the commercial development section of the firm provides a diverse selection of services to the company's clients, for which the company receives payment.

**Bridge Loan Service**

October 2019 saw the launch of a bridge loan service provided by Compass, in collaboration with Better Mortgage

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and Freedom Mortgage. Because of the bridge loans, the sellers may be able to come up with the funds necessary (before the sale's proceeds are received) in order for them to be able to afford to purchase their next residence.

Homeowners who are interested in obtaining a loan will use the equity that they have built up in their house as collateral for the loan. The process of acquiring a loan is fast and uncomplicated, providing homeowners with the flexibility they seek.

Because Compass does not function as a lender in its own right, the company does not reap any financial benefits from the interest that is levied on the loans. Instead, it receives a referral fee for each lead that it provides to its partners.

Compass also provides additional services, such as title and escrow, which contribute in various ways to the company's overall revenue stream.

**Understanding the Compass value proposition**

Compass, in contrast to many other PropTech companies, does not want to replace humans at any time in the near future. Rather, it bestows more control to the agent over the process of completing the transaction. Compass highlights the fact that the great majority of buyers still prefer to engage with brokers.

**Understanding the Compass marketing flywheel**

The agent serves as the main position from which the rest of the marketing machinery turns into the Compass marketing model.

Customers are drawn in, engaged, and happy as the platform continues to provide accreditation to an increasing number of agents. Because of this, the platform improves its credibility and draws in a larger number of regular users. This, in turn,

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drives an increase in sales and fuels an expansion of the revenue stream generated by the platform. This, in turn, is reinvested in the company to produce tools that are even more useful for agents.

### Compass Funding, Valuation & Revenue

Crunchbase reports that Compass gathered $1.5 billion in venture capital after ten different fundraising rounds. Their initial public offering (IPO) brought in an extra 450 million dollars for the company. Compass had a market value of more than $8 billion just prior to its initial public offering.

The total revenue generated by Compass for its fiscal year 2021 was $6.42 billion, representing a 73% increase in comparison to the previous year's total. However, the company's financial losses continue to mount, reaching $494 million in 2021 (a significant increase from the $270 million recorded in 2020).

## THE OFFERPAD BUSINESS MODEL

Offerpad is a platform that facilitates the buying and selling of properties online. The company, which may be thought of as an "iBuyer", places a significant emphasis on the use of technology tools in order to streamline the buying and selling processes.

### Short History Of Offerpad

Brian Bair and Jerry Coleman launched Offerpad in 2015, with its headquarters in Phoenix, Arizona. At the same time, they also took on the position of co-CEOs.

Before starting Offerpad, both Bair and Coleman had already amassed a significant amount of past experience working in the real estate industry, both in the capacity of employees and as entrepreneurs. Between the years 2008 and 2015,

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Bair was in charge of the Bair Real Estate Group, one of the several real estate companies he had cofounded. During his time there, he was responsible for overseeing the purchase of more than 950 properties and the utilization of more than $95 million for hedge fund clients.

Coleman is best known for creating Invitation Homes, a home leasing service catering to single-family homes. Invitation Homes is now one of the largest owners of single-family rental homes in the United States, having acquired a portfolio of more than 80,000 units over time. But by the time the company went public in February 2017, Coleman had already moved on from the company.

The Offerpad website launched within the first few months of 2016. The founders' extensive financial networks and years of experience in the real estate industry contributed to the head start of 260 million dollars that the company received.

Offerpad was able to swiftly extend its operations outside the Phoenix metropolitan area as a result of the funding. After just three years in operation, Offerpad grew to service consumers in over 10 different states by the end of 2018. In addition, the company was accountable for annual real estate transactions totaling $2.5 billion in value.

In early 2017, Offerpad disclosed its partnership with Zillow, regarded as the most popular website for real estate listings. According to the terms of the deal, Offerpad would leverage its extensive purchasing experience to buy houses that are on Zillow's website. Just one year later, Zillow made the decision to enter the iBuyer competition, which led to the dissolution of the relationship.

Coleman, who was instrumental in the establishment of the business and has been acting as its co-CEO, handed in his resignation in July 2018. He continued to serve on the board

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so that he could devote his attention to more strategic concerns, such as developing relationships and generating funds.

In the year 2020, as a result of the large influx of cash brought about by the coronavirus pandemic and the stimulus checks that it introduced, people began extensively purchasing real estate. Because of its consistent growth, Offerpad was finally brought to the attention of a group of SPAC investors who called themselves Supernova Partners. Among these investors was Spencer Rascoff, who had previously served as CEO of Zillow.

When Zillow, which had joined the iBuying community of businesses just two years before, announced that it would stop making property acquisitions, it was a big boost to the company. Offerpad was able to profit from this market opening by obtaining $600 million worth of debt financing in the first month of 2022.

In addition, Offerpad started turning a profit of $6.5 million in the year 2021. The great majority of the funding will be used toward penetrating unexplored markets all across the world. Offerpad has sprung up to become one of the most well-known iBuyers in the United States in a very short amount of time.

**How Offerpad Works**

Offerpad is an online platform that buys and sells residential real estate. Offerpad is an example of an "iBuyer" because of the way it leverages technology to expedite the buying and selling processes.

Homeowners who want to sell their homes via Offerpad are required to supply specific information about the properties they are selling. This requirement often contains a variety of information, including the building's history, dimensions, and

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a list of its amenities.

In addition, sellers have the option of including visuals in the form of images and videos that showcase both the inside and outside of the property that is for sale. After receiving the proposal, Offerpad will immediately begin using its machine learning resources as well as human evaluation in order to generate a buyout offer in less than twenty-four hours.

Offerpad provides an additional choice to sellers who are interested in placing their property on the market. Also, sellers who are moving to a new place may take advantage of Offerpad's free relocation service (exclusive to clients who have used Offerpad to sell their houses). The service is only available for relocations that take place within a 50-mile radius.

Offerpad provides potential homebuyers with access to a portal that showcases all of the properties that are currently being offered for sale by the company. Customers are free to do research on their own time on the home's cost and other aspects.

Customers who are interested may either make contact with representatives of the firm, who are referred to as "Solutions Expert", or they may physically visit the residence. Because Instant Access on Offerpad does away with the need for a buyer to arrange a showing, the buyer is free to take a self-guided tour of the home whenever it is most convenient for them. Users are required to produce identification that is current and valid before being allowed entry into the residences.

Offerpad's home-buying and home-selling services are now available in more than a thousand locations throughout the United States. Users have the option of accessing the platform via their website or through their Android and iOS

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mobile apps.

## How Does Offerpad Make Money?

Offerpad generates revenue via the collection of service fees as well as the sale of properties.

### Service Fees

Offerpad charges a service fee to the home seller that is taken out of the revenues that are made from the sale of the home.

The standard percentage for the service fee is 7%, but it may range anywhere from 6% to 10%. The service charge takes care of all the costs associated with the acquisition, including the commission for the real estate agent.

Offerpad customers are charged additional fees in order to cover the future costs connected with the property's maintenance. These expenses are incurred whenever it is necessary to make improvements to the residence.

### Sales Profit

Because Offerpad functions as both a buyer and a seller, the company is able to earn a profit from the sale of properties to its users.

Offerpad is one of several real estate companies that use machine learning technologies to provide homeowners with fast cash offers.

With this technology at its disposal, Offerpad places offer that it believes, when the time comes, will result in the highest possible profit for the seller. In order to do this, the algorithm will access public databases, which will provide it with information on recent real estate transactions in the area. Additional information is acquired via the use of user surveys as well as inspections performed by certified real estate agents.

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Thanks to this technology, Offerpad is able to safely make a quick offer that is often lower than the current going rate. This increases the likelihood of making a profit from the subsequent sale of the property.

Offerpad, as with the majority of other iBuyers, concentrates on the middle-class property market, which entails residences with prices ranging from $100,000 to half a million. According to the company, it is far more difficult to make a profit off of high-end homes that are valued at more than $500,000.

### Offerpad Funding, Valuation & Revenue

Offerpad has raised $355 million in total through four rounds of fundraising, as reported by Crunchbase. Offerpad has attracted notable investors such as LL Funds, Citibank, major house builder Taylor Morrison Home Corp., and BlackRock.

The company increased its funds by an additional $650 million when it went public in 2021. Offerpad was valued at $3 billion after the successful completion of its first public offering. During the fiscal year ending in 2021, Offerpad generated a profit of $2.07 billion. In comparison to the previous year's earnings of $1.06 billion, this represents a growth of 95% for Offerpad.

## THE EXP REALTY BUSINESS MODEL

### What Is eXp Realty?

eXp Realty is a cloud-based brokerage that is owned by its own real estate agents. The company is a part of eXp World Holdings Inc. The organization's reach is global, and it now has over sixty thousand agents on its payroll.

In addition to a generous commission structure, sales representatives are offered the option to become owners of

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the company. Stock allocations for agents are contingent upon the achievement of milestones, such as the closing of their first sale. As an agent, you have the opportunity to keep anywhere from 80% to 100% of the commissions you earn, and you won't have to worry about paying any desk fees or royalties.

## A Short History of eXp Realty

Glenn Sanford, who is now eXp Realty's founding partner, joined the business in 2009, when the memory of the housing market's collapse was still very vivid in everyone's mind. Before he started working for eXp Realty, he was a manager at Keller Williams, where he oversaw a number of real estate offices located in a variety of states and regions.

During the Great Recession of 2008/9, both his company and his workers suffered significant losses, but he was able to turn that obstacle into a chance to reevaluate the real estate brokerage sector as a whole. eXp Realty was founded as a result of the in-depth evaluation that was conducted.

## What Is eXp Realty's Business Model?

### The Value Proposition

According to the company's website, eXp provides a very competitive pay plan, a novel cloud-based methodology, and a wonderful worldwide community of agents that cooperate together. When you add cutting-edge tools, visionary management, guidance, training, and support to the mix, an eXp agent has nothing standing in the way of their success except their own efforts.

Agents with eXp Realty benefit from competitive pay, a supportive online community, and access to cutting-edge cloud technology. As a result, it boasts the title of "the world's most agent-centric brokerage".

Their most important customers, who are also their agents,

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get the benefits of their outstanding commission structure and other compensation, in addition to their cloud-based and virtual approach, which do away with the need for physical offices or franchising.

**Customer Segments**
An insightful analysis of the value proposition suggests that the organization might have two separate categories of customers: "real estate agents" and "homebuyers and sellers".

**Customer Relationships**
They utilize a variety of strategies for attracting and retaining clients.

Participation from the community, use of automated systems, human contact, and self-service options all play a part in this model. Their sister firm, Virbela, which offers a 3D virtual workplace in which a group of people may work together remotely, makes it feasible for them to facilitate community participation.

Showcase IDX, which is their second sister firm, is used to integrate the MLS IDX into real estate websites that are powered by WordPress. This provides their agents with a leg up among other real estate agents.

**Channels**
It is likely that word-of-mouth and networking do a better job of getting eXp Realty's message over to the real estate agents that make up its target audience than more conventional types of advertising. Having strong ties to Keller Williams and its alumni agents is likely where it all began for their founder.

**Revenue Streams**
The commission rate of 20% on sales of up to $16,000 per

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transaction accounts for the vast bulk of eXp Realty's earnings. Above $16,000 in sales, the broker is entitled to get 100% of the commission.

Other sources include one-time, recurring, and sales-based fixed fees, including a setup charge of $149, a monthly cloud brokerage fee of $85, a broker review fee of $25 per sale; and a sales-based risk management fee of $40.

**What Is eXp Realty's Commission Split?**
Commissions are distributed as follows by eXp Realty: 80% go to the agent, and 20% go to the firm. Once an agent reaches a gross commission of $16,000, they are entitled to a full 100% of all extra revenues made after that point. The broker review charge of $25 and the risk management charge of $40 (both of which are fixed per transaction) are both still due payments.

# KELLER WILLIAMS' BUSINESS MODEL

Keller Williams Real Estate is among the top real estate agencies in North America, with offices throughout North America. Their innovative approach to running a firm, in addition to their ability to spot and secure top-tier employees, may be credited for their meteoric growth. A significant number of real estate professionals choose to work alone out of a concern that teaming up may reduce their individual earning potential.

Keller Williams has developed an unusual strategy to run the firm. Their approach centers on dividing their earnings. If one agent in a chain is successful, then the rest of the chain will be successful as well. It levels the playing field more evenly so that everyone, and not just a select few at the very top,

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may achieve their full potential.

There are certain similarities between the business model used by Keller Williams and those of multi-level marketing businesses. However, there are also significant differences that must be taken into consideration.

**Downstream caps are in place.**
In multi-level marketing (MLM), a representative's downline may be as big or as little as they want it to be. There is a maximum downstream limit of seven levels in place at Keller Williams. This is done so that all of the company's employees will have an equal chance to make the most money possible.

**Not having to worry about meeting any kind of quota is a huge plus.**
There will be sales quotas associated with any multi-level marketing (MLM) company that provides an opportunity to share in the profits. In order to maintain one's position as a representative, it is sometimes required to meet specific obligations. When it comes to qualifying for the profit sharing arrangement at Keller Williams, there are no minimal standards to meet.

**There is no initial investment required.**
Instead of forcing agents to buy supplies at a discount in order to resell them at a profit, Keller Williams maintains a representative relationship that is not based on upfront purchases. Finding buyers or sellers, acting as a mediator throughout the transaction, and collecting a commission are the primary responsibilities of real estate brokers.

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# APARTMENTS.COM BUSINESS MODEL

**What Is Apartments.com?**

Apartments.com is a trusted resource for apartment hunters since the website regularly updates its information. Regular visitors and newcomers alike may rely on the information provided by the website. Apartments.com has a wide database of housing options, which includes listings for single-family houses, town homes, and condos, in addition to listings for apartment complexes.

**How Apartments.com Make Money**

Apartment.com generates revenue for itself via the provision of a number of different ad packages, including their Diamond package, Platinum package, Gold package, and Silver package. Apartments.com is a free online resource that is available for use by anybody who is searching for a new apartment or residence to call home.

**Diamond**

When it comes to promoting available apartments on Apartments.com, the most expensive but effective choice for landlords and management companies is a diamond advertising package. If customers choose this level of advertising, not only will their ad be the largest one on the webpages, but it will also be sent to eight more partner websites that are affiliated with Apartments.com.

This advertising package includes not only space for publishing videos and 3D tours, but also customer ratings and reviews, as well as rental specials. In addition, the advertiser is given access to a variety of different sorts of analytical reports.

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**Platinum**
Among the available packages, this particular one is more affordable than the diamond but more valuable than the gold package. In addition to other benefits, advertisers who purchase this package will have the opportunity to have their properties shown on eight different websites.

**Gold**
In comparison to the platinum and diamond packages, the gold package's advertisement for the listed property is smaller and receives a lower level of exposure. If you sign up for the gold plan, the advertisements you create will appear in the third position on the search page. This package provides the advertiser with fewer exposure opportunities compared to the two premium packages, but it provides more opportunities than the silver package does.

**Silver**
This package, which offers property owners the least expensive choice possible, consists of a standard-sized advertisement as one of its features. They appear fourth in the list of search results.

Although there are some advantages to the silver plan, such as the ability to post advertisements for vacant properties on up to five different websites, this plan is not nearly as beneficial as the gold, platinum, or diamond plans. If an advertiser wishes to know the contractual expenses that are linked with any of the four packages, they are required to contact a representative.

**Tenants**
When a potential tenant applies for a lease on a home or apartment, the landlord or property management firm will often review the applicant's credit history and run a background check. This is done in order to determine whether the tenant is at a good financial risk or not.

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In the event that a prospective tenant uses Apartments.com's services, they will be charged a fee of $29.00 plus VAT for the processing of applications and the provision of tenant screening results.

If a prospective tenant's lease application is rejected by a specific property, that property is obligated to make the necessary documents available to the prospective tenant so that they can use them when applying to other properties. These documents are only valid for a period of thirty days, beginning on the day that they were first generated.

**Credit Card Fees**
When advertising or selling a property on Apartments.com, the advertiser will not be charged any fees for the use of credit cards. But if a renter pays their monthly rent using a debit or credit card, apartments.com will collect a fee of 2.75% of the total amount due.

**Charges — Mobile App**
When a potential tenant uses the Apartments.com app to submit an application for renting an apartment, and that application is later approved by the landlord or management company, Apartments.com receives extra income. A renter may pay a one-time fee of $29 to submit an application to a maximum of ten different rental properties that are participating in the relevant Apartments.com program. Because the application only has to be filled out once, using this service saves time because it can then be forwarded to several properties.

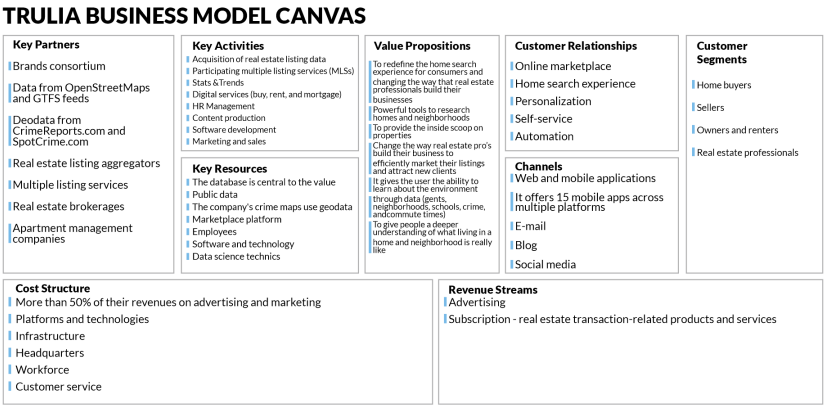
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# TRULIA BUSINESS MODEL

Trulia is a property search engine that gathers listing information from a wide variety of sources and presents it in a centralized place. Users have the option of searching for flats and homes for sale or rent. Trulia offers a variety of helpful data, like projected commute times, crime maps, school stats, and community price trends, to name just a few of them.

Comparing various areas is made much easier with the use of a color-coded map that also includes these statistics overlays. A directory of real estate experts and a mortgage calculator are just two of the many helpful services that can be found on Trulia. All of these tools are available for free use, both by people who are selling properties and by those who are looking to buy them.

Because Trulia does not charge its customers for the services it provides, you may be curious about the business model behind how the firm makes money. Trulia generates revenue from a variety of sources, including the subscription plans it offers to real estate professionals as well as advertising.




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## How Does Trulia Make Money?

### Subscription Plans

Trulia empowers real estate professionals by enabling them to promote their properties independently. Listings get a significant boost from this promotion, and as a result, real estate brokers are able to get high-quality, motivated, and targeted leads.

This feature calls for a subscription-based payment plan to be set up. Agents have the opportunity to pick a plan that meets their requirements to the greatest extent possible thanks to the availability of three distinct alternatives (Basic, Plus, and Deluxe). Prices start at $30 per month for a single featured listing and go up to $70 per month for three featured listings and $200 per month for ten featured listings with the Deluxe Plan, respectively.

Along with featured listings, each and every Trulia membership plan comes with its own set of pro benefits. A Trulia Pro may be eligible to get a dedicated phone number, a badge that can be shown on their listings, and a text alert if they receive a lead.

Premium members get access to information that is not accessible to regular users, which allows them to further increase the quality of the leads that they generate. These include details on the prospective purchasers' financial situation, including whether they have been pre-approved for a mortgage or not; whether they are working with a real estate agent or not; and the timing of their move, if applicable.

### Ad Serving

Trulia makes use of a PPC (pay-per-click) network to provide its users with advertisements. This service sends invoices to advertisers and then reimburses Trulia for each click or a thousand impressions that are received. Because of the

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advertisements that users view when they visit Trulia, the firm is able to generate revenue from its users. On some sections of the Trulia website, many advertisements are shown, which is a common strategy for increasing revenue.

At the time when Zillow purchased Trulia, the website had 51.6 million users each month. Because of the enormous number of prospective clients, they have tremendous negotiating power when it comes to setting the price of advertising space.

By asking its users what they think about the company's advertising options, Trulia makes sure its ads are user-friendly. It may be tempting to cram as many advertisements as possible onto a website for the sake of increasing revenue, but doing so may have the unintended consequence of making it more difficult to retain users. Trulia has made great efforts to ensure that the ads are as non-intrusive as possible.

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# MAIN CHALLENGE TO REAL ESTATE BUSINESS MODELS

**Providing real value requires first knowing your customer.** It is certainly feasible for entrepreneurs to develop a business model or a solution that is beneficial to a number of different individuals at the same time, but they often make the mistake of believing that they have to do it all at once. Whose issues are you attempting to rectify? The buyer, the seller, the realtor, or some other qualified industry professional? It is essential for any subsequent actions that you have a clear understanding of the person or people you are attempting to help.

If you want to be successful, you need to hone in on a certain segment of clients and do in-depth research on them to get an understanding of their normal habits, difficulties, and desired outcomes. Make sure that your proposed solution is organized around these drivers if you don't want to end up with something that is just slightly better compared to what is already in place.

If you want to sell to agents, it is critical to get as much information as possible about them and how they do business. This will make it possible for you to create a comprehensive profile of the kind of customer who is most likely to experience significant benefits from buying what you have to offer.

Observe the contents of brokers' inboxes firsthand by participating in their weekly meetings and working with them

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as shadow agents. Both of these can provide opportunities for you to get practical experience. Making assumptions as the foundation for building a successful business is impossible.

Getting clients to get over their "fear gap", or lack of trust that they would not make any errors while going through the real estate sales process is one of the most significant challenges that businesses face when they attempt to eliminate agents from the transactions.

Nearly 90% of purchasers still make use of the expertise of a real estate broker or agent. This is due to the fact that real estate transactions do not allow for do-overs. If you want to develop a product that is really ground-breaking, you will need to triumph over this significant challenge first and foremost.

**Navigate regulations**
In principle, innovation ought to result in quality improvements together with a decrease in expenses and an increase in operational efficacy at the same time. To what degree, however, do you follow the rules and regulations?

Because there are a great number of them, regardless of whether one accepts the legitimacy of their existence or not. There are several aspects of real estate transactions that are within the purview of stringent regulations. Some examples of these aspects include appraisals, guidance, financing, and insurance.

Altering the established rules is unlikely to be favorably appreciated by those involved. Even while ensuring everyone's safety is the intention behind all the red tape, it often ends up being an obstacle instead. Nonetheless, it can only be changed from the inside out. If you try to innovate by skirting the law, you are not only bound to fail in the long run,

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but you also run the risk of getting into serious legal problems as a result of your actions.

**Solve for adoption**

Think about the following: you have created an innovative solution; you have a comprehensive grasp of the market you want to serve; and you are in complete compliance with all rules and regulations that are relevant to your business. Right now, you need to focus on acquiring new consumers. How exactly might one get them?

It is going to be a challenging effort to disseminate your properties to a large number of individuals. To whom do you want to offer your properties or service? Do you want to sell directly to the customer, or would you rather sell via distribution partners that already have access to the target customer base?

When deciding whether to use direct marketing or not, it is important to consider the duration of the sales cycle. You will need a sufficient amount of money to undertake a large number of acquisition campaigns and user retention cycles if you want to test your product.

If you want to sell via partners, you should first determine whether your product effectively addresses the problems that they have or not. Potential distribution partners may have a customer base that is comparable to yours, but they may have a whole unique perspective on the world.

You should approach potential partners in the same way that you would any other sort of client, and strive to understand their motivations. This will help you avoid jumping to hasty conclusions. Strong connections, rather than fancy new technology, are often the key to collaboration success.

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**Evaluate your revenue model**

It is beneficial to discover prospective entry points for customers, but doing so will require an outlay of financial resources. Are you able to promote to them at a cost that is affordable enough to guarantee that they continue to be customers and that their LTV surpasses your CAC? Because your pricing policy has to account for the costs of everything from internal operations to royalties paid to distribution partners, you will need a lot of leverage and a very sticky product in order to be successful.

If your innovation includes the decrease of fees (by eliminating agents), you need to consider how and when you will receive payment, as well as whether the money will be sufficient to build a firm that is financially sustainable or not.

If your product is a monthly membership service that assists industry experts, what steps can you take to mitigate the high customer churn rate that plagues your business? The price structures of successful goods are directly proportionate to the value that they deliver. This, in turn, necessitates that the value be transparent, quantifiable, and consistent.

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# FUTURE OF THE ESTATE AGENCY BUSINESS MODEL

Even though the real estate industry is constantly evolving, its core principles have not changed. Although there has been a change in business models over the last few years, it is very unlikely that companies will transition to an online-only model or move away from service-led ones.

It would seem that the approach that is most likely to be successful is one that combines the internet and PropTech with some element of human interaction. It is a system that strikes a balance between speed and simplicity of use, as well as customization and the significant amount of specialist expertise that is necessary.

Any real estate firm that hopes to succeed will need to adopt this approach and be flexible in the face of inevitable shifts in the profitability of leasing and sales.

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# GUIDE TO CREATING A REAL ESTATE BUSINESS PLAN

## WHY CREATE A REAL ESTATE BUSINESS PLAN?

"Failure to plan is planning to fail". This applies to businesses in the real estate market as well. A company's chances of success are greatly increased with a well-developed plan in place. The statistics also support this conclusion. A study showed that businesses with business plans were almost twice as likely to experience growth than those without.

In the business strategy, you should include answers to financial and strategic issues such as "Who is your ideal client?" How much money would you typically earn in a year if everything went according to plan? To what extent should you prioritize advertising? In order to break even, how many units do you need to sell? What are the primary dangers and potential gains for your market?

It is essential that the strategy be flexible in order for the company to be able to adjust to shifting conditions both internally and externally.

Please keep in mind that the timeline of a business plan

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might run anywhere from one to five years. There are not many brokers who can entirely develop their company within a single year, and making plans for the next five years may be a risky endeavor. Within the first three years of their profession, the vast majority of new agents should have reasonable expectations of making a living that is commensurate with their efforts and establishing a good foundation for their careers.

# HOW TO START A REAL ESTATE BUSINESS

Starting one's own real estate firm requires a great deal of bravery. In what other industry would it be standard practice for you to make hundreds of cold calls each day to potential customers, only to close perhaps just over five deals in your first year on the job?

The common belief among individuals in the real estate industry is that during the first five years of a real estate broker's career, the majority of them will fail to make a profit. Nonetheless, if you have the necessary expertise, launching your own real estate firm might be your passport to a successful and lucrative seven-figure career.

The following is an introduction to getting started in the real estate industry from scratch.

### Get a CRM

A corporation is, at its core, an intricately interconnected network. There is a propensity, on the part of some successful real estate brokers, to oversimplify things. The principle of leverage was adhered to from the very beginning of their businesses, and this laid the groundwork for their subsequent achievements.

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To put this principle into action, you should consider your customer relationship management system to be a true sales conversion machine.

Customer Relationship Management (CRM) software gives you the ability to not only keep track of your contacts with clients and prospects, but also to get valuable insights from those interactions. Depending on the source of the lead, you have the option to either fully automate the sales cycle or just assist leads through the nurturing campaigns that are most suited for them.

This is particularly beneficial in the real estate industry since there are a larger number of agents, and a significant increase in the number of leads and customers involved in the process, as well as because the process of acquiring a property is long and complex.

**Craft your ideal personal plan**

Establishing your own personal financial goals is the first step you need to take before attempting to set business financial targets that are both reasonable and attainable.

Even while commissions are nice, the fact of the matter is that practically everyone who works in the real estate sector went into this field with the goal of achieving greater success. To do this, you need to consider the following questions:

- When would you want to get your day's work started?
- When would you want to get off work?
- How much would you hope to profit from your endeavors?

Have you set your sights on retiring at the age of 65? Do you want to invest in your children's future by paying for their

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college outright? If you want to achieve this goal, you need to determine how much money you will need to save each month. Knowing precisely how much money you're making and where your commissions are going makes it much simpler to keep making calls.

**Align your business plan**

Having committed your idealistic, anti-paycheck-to-paycheck life plan to paper, it's time to get down to business and start making it a reality.

Get started on developing your business plan, and make it a point to emphasize what makes your real estate company stand out from the competition in your market. Take this with careful consideration. This is where your unique commercial acumen and penchant for success can really shine through.

Consider the following questions:

- What kind of difference do you hope your real estate sales efforts will make in the lives of your prospective customers?
- What principles and values guide your business?
- Just how do they vary from rival real estate firms?
- What are the top three to five areas of control in your business that you intend to exercise complete command over?
- The rest, whose responsibility will they be?

To keep your staff motivated and avoid falling into unproductive routines, it is important to set a big goal, even if you are only employing a virtual assistant to help with some minor administrative tasks.

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**Build a consistent marketing plan**
Getting your real estate license, selecting the real estate brokerage that is the best fit for you, and starting the process of building your client database while avoiding appearing "salesy" to the people who are already in your sphere of influence should be your top three priorities as a new real estate agent.

When referrals start coming in, one of the biggest mistakes that rookie real estate agents make is that they start to relax. Whatever your goals, your company's marketing efforts are the one thing that should never be put on hold.

Build your capacity for conducting strategic research on your market, and make sure you always have a great offer ready to be provided to potential clients.

The first thing you need to do is figure out what sets your product or service apart from the competition. Put this information to use as the foundation for all of your future marketing endeavors.

**Get a website**
Going online is the first step in the home-buying process for nearly 50% of today's property buyers.

Regardless of how much work you put into local marketing, you cannot expect to generate online leads if you do not have a web presence. Every successful real estate company has to have a website that is robust, search engine optimized, and enables you to integrate IDX listings and shepherd those leads right into their customer relationship management system.

After you have built up this asset, you will be able to begin a constant marketing effort using social media and blogging in order to bring in new clients.

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**Prospect consistently**

The "shiny object syndrome" is a widespread problem that is plaguing the real estate business. Pick one approach to marketing and stay with it; the real estate agent who is the most consistent is likely to be successful. The optimization of your SOI is something that you should undertake right from the start. In fact, the Graham Seeby Group of Atlanta, Georgia, generated $90 million in home sales from a list of just 279 contacts by consistently marketing to their previous clients and circles over the course of only four years.

**Nurture leads**

When a potential new customer makes contact with you, they expect a timely response from you.

Mike Pannell is the brains behind the amazing lead generation efforts that Nu Home Source Realty has been able to achieve. According to Mike, a lead conversion system that includes a follow-up mechanism is necessary to ensure long-term success.

According to him, he offers his salesmen a 180.5-day window in which 70% of prospective purchasers won't act on their interest in purchasing a property. If you wait for new leads to make a purchase, your conversion rate for those leads is 3%. That will get you by for a while, but you should really be aiming for at least six months. To be able to communicate with them, you need to establish an effective funnel; hence, it is essential to follow up with leads.

In addition to his consistent writing and optimization of his website, Mike is always keeping tabs on the other businesses in his industry to see how they are following up with their customers. He adds that his phone number is available to a significant number of real estate internet websites; yet, these websites seldom ever get in touch with him.

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You need to differentiate yourself from other real estate agents by being the one who is always available if you want to be successful in this line of work.

**Have good time management**
Just like the vast majority of real estate professionals, you probably want to spend less time working and more time doing what makes you happy.

However, the great majority of real estate agents who begin the process of establishing a real estate agents do not include this step in their plans.

Automation experts are often motivated by the desire to increase the throughput of their systems. By automating processes that are routine, you will have more time to dedicate to activities that generate money.

# HOW TO GROW YOUR REAL ESTATE BUSINESS

If you want to start making sales and generating interest in your business, you are going to need to market it. The following are some ideas that may be used to promote your business and increase your client base:

**Leverage your Sphere of Influence**
Because you probably won't have a powerful lead-producing engine outside of your SOI at first, it's crucial to make sure that the people in your network are aware that you are accessible to assist them in the event that they have any needs related to your business.

Although many individuals working in the real estate market are concerned about coming off as forceful, this will not be an

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issue for you if you refrain from pestering and instead simply bring up your business whenever the topic of discussion organically turns to that particular topic.

**Start networking**

It is important to remember that the power of your sphere is directly related to its size, therefore you should avoid using it several times. A wonderful way to broaden your sphere of influence (SOI) is to attend community events where other local business owners are present and network with them. They might also be buyers that are interested in making a purchase.

Remember the Law of Reciprocity, and always attempt to return favors whenever possible. If you take an active role in group conversations and events, people will think more highly of you. You will want them to keep you in mind in case they ever need your help at some point.

**Use Zillow and similar sites to your benefit**

Utilizing websites like Zillow and others that are similar but have a higher level of trust and a larger user base than you have might be beneficial to the growth of your business. You'll need to register, publish your listings, and complete your profile with relevant information. If someone comes across your listings or profiles, they might potentially get in touch with you.

**Find out the cost of Google Ads in your city**

There is a lot of competition in the housing market, especially in large cities, so it's possible that using Google Ads isn't the ideal way to go about things. It's definitely not a bad idea to check what the cost of Google Ads would be and give them a go, especially considering the fact that many people use Google as their first resource when doing research on major purchases like homes. If the cost per click (CPC) for your targeted keywords is within an acceptable range, utilizing

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Google Ads is an excellent strategy for rapidly attracting users to your website.

**Run Facebook ads**

69% of adults in the United States are regular Facebook users. It is likely that members of your target audience are already there. Your ads have a far better chance of being noticed by people who are really interested in your properties or services if they are tailored to the location of the person who is seeing them at the moment.

**Optimize your website for organic search**

Investing time and resources in maintaining a website that is not search engine optimized is a waste of time, especially in industries that are extremely competitive. Every page on your website needs to serve a particular purpose, be simple for Google to crawl, and ought to include search engine optimized keywords.

**Start blogging**

One strategy to increase visibility in search engines is to start a blog. Google uses page rankings, rather than site-wide metrics, to determine search engine rankings. Carefully promote each item on social media and pick topics that will appeal to the target audience.

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# CONCLUSION

If you are considering real estate as a business, it is crucial for you to remember that it is not just about the money that you can make from it. Make sure that you have sufficient funds to invest, as this will allow you to focus on your project. It is important to stay on top of your investment, taking note of any changes or developments in the real estate industry and analyzing how they might affect your investment or the market where your property is located. You should also be willing to learn more about real estate and take courses that would help your career. It is very likely that, with all these factors considered, real estate may prove to be the perfect business for you.

For now, the real estate market is booming, but that doesn't mean every business model is a viable one. With an understanding of the different models, you can make an educated decision on what's best for your business — and staying objective throughout the decision-making process will put you in a better position to succeed as a real estate agent.

In addition, an agent's success in the real estate industry may be achieved in a variety of ways. Some people may choose to use a combination of approaches, while others will stick with just one. Keep in mind that the most effective real estate company strategies evolve with the market. Maybe this super guide has gotten your creative juices flowing about how to best organize your business to maximize your strengths as a real estate agent and business owner.

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